SCHEDULE RC-O – OTHER DATA FOR DEPOSIT INSURANCE ASSESSMENTS

General Instructions

Each FDIC-insured depository institution must complete items 1 and 2, 4 through 9, 10, and 11; Memorandum item 1; and, if applicable, items 3 and 9.a and Memorandum items 2 and 3 (and Memorandum item 4 on the FFIEC 031 report) each quarter. Each "large institution" and each "highly complex institution," which generally are FDIC-insured depository institutions with $10 billion or more in total assets, must complete Memorandum items 5 through 12, 13.a, 16, and 18 and, if applicable, Memorandum item 17 each quarter. In addition, each "large institution" must complete Memorandum items 13.b through 13.h and each "highly complex institution" must complete Memorandum items 14 and 15 each quarter. The terms "large institution" and "highly complex institution" are more fully described in the General Instructions preceding Memorandum item 5.m

Each separately chartered depository institution that is insured by the FDIC has a unique FDIC certificate number. When one FDIC-insured institution owns another FDIC-insured institution as a subsidiary, the parent institution should complete items 1 through 11 (except item 9.a) and Memorandum items 1 through 3 (and Memorandum item 4 on the FFIEC 031 report) of Schedule RC-O by accounting for the insured institution subsidiary under the equity method of accounting instead of consolidating it, i.e., on an "unconsolidated single FDIC certificate number basis." Thus, each FDIC-insured institution should report only its own amounts in items 1 through 11 (except item 9.a) and Memorandum items 1 through 3 (and Memorandum item 4 on the FFIEC 031 report) of Schedule RC-O under its own FDIC certificate number without eliminating the parent and subsidiary institutions' intercompany balances. (However, an FDIC-insured institution that owns another FDIC-insured institution should complete item 9.a by consolidating its subsidiary institution.) In contrast, when an FDIC-insured institution has entities other than FDIC-insured institutions that must be consolidated for purposes of Schedule RC, Balance Sheet, the parent institution should complete items 1 through 11 and Memorandum items 1 through 3 (and Memorandum item 4 on the FFIEC 031 report) of Schedule RC-O on a consolidated basis with respect to these other entities.

"Large institutions" and "highly complex institutions," including those that own another FDIC-insured institution as a subsidiary, should complete Memorandum items 5 through 18, as appropriate, on a fully consolidated basis.

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1 **Total deposit liabilities before exclusions (gross) as defined in Section 3(l) of the Federal Deposit Insurance Act and FDIC regulations.** Report on an unconsolidated single FDIC certificate number basis the gross total deposit liabilities as of the calendar quarter-end report date that meet the statutory definition of deposits in Section 3(l) of the Federal Deposit Insurance Act before deducting allowable exclusions from total deposits. An institution's gross total deposit liabilities are the combination of:

- All deposits in "domestic offices" reported in Schedule RC, item 13.a;
- All deposits in "foreign offices" reported in Schedule RC, item 13.b, on the FFIEC 031 report;
- Interest accrued and unpaid on deposits in "domestic offices" reported in Schedule RC-G, item 1.a;
- Interest accrued and unpaid on deposits in "foreign offices" included in Schedule RC-G, item 1.b;
- Uninvested trust funds held in the institution's own trust department;
- Deposits of consolidated subsidiaries (except any consolidated subsidiary that is an FDIC-insured institution) and the interest accrued and unpaid on such deposits;

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1 (cont.)

- The amount by which demand deposits reported in Schedule RC, item 13, have been reduced from the netting of the reporting institution's reciprocal demand balances with foreign banks and foreign offices of other U.S. banks (other than insured branches in Puerto Rico and U.S. territories and possessions); and
- The amount by which any other deposit liabilities reported in Schedule RC, item 13, have been reduced by assets netted against these liabilities in accordance with generally accepted accounting principles;
- Less the amount of unamortized premiums included in the amount of deposit liabilities reported in Schedule RC, item 13;
- Plus the amount of unamortized discounts reflected in the amount of deposit liabilities reported in Schedule RC, item 13;
- Plus other obligations meeting the Section 3(l) statutory definition of a deposit that may be housed in systems of record not normally thought of as deposit systems, such as loan, payroll, and escrow systems and manual records that contain information needed to answer depositors' questions on their deposits.

See the Glossary entry for "deposits" for the statutory definition of deposits.

If unposted debits and unposted credits are included in the gross total deposit liabilities reported in this item, they may be excluded in Schedule RC-O, item 2 below.

2 **Total allowable exclusions, including interest accrued and unpaid on allowable exclusions (including foreign deposits).** Report on an unconsolidated single FDIC certificate number basis the total amount of allowable exclusions from deposits as of the calendar quarter-end report date if the institution maintains such records as will readily permit verification of the correctness of its reporting of exclusions.

Any accrued and unpaid interest on the allowable exclusions listed below should also be reported in this item as an allowable exclusion.

The allowable exclusions include:

(1) *Foreign Deposits:* As provided by Section 3(l)(5) of the Federal Deposit Insurance Act (FDI Act) and Section 330.3(e) of the FDIC's regulations, foreign deposits include:

(a) any obligation of a depository institution which is carried on the books and records of an office of such bank or savings association located outside of any State (as defined in Section 3(a)(3) of the FDI Act) and would be a deposit if it were carried on the books and records of the depository institution at an office located in any State, regardless of whether the contract evidencing the obligation also provides by express terms for payment at an office of the depository institution located in any State; and

(b) any International Banking Facility deposit, including an International Banking Facility time deposit, as such term is from time to time defined by the Federal Reserve Board in Regulation D or any successor regulation issued by the Federal Reserve Board.

NOTE: Foreign deposits are deposit obligations under the FDIC certificate number of the reporting institution only. Deposit obligations of a subsidiary depository institution chartered in a foreign country should not be included in amounts reported in Schedule RC-O under the domestic institution's FDIC certificate number.

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2 (cont.)

(2) *Reciprocal balances*: Any demand deposit due from or cash item in the process of collection due from any depository institution (not including a foreign bank or foreign office of another U.S. depository institution) up to the total amount of deposit balances due to and cash items in the process of collection due such depository institution.

(3) *Drafts drawn on other depository institutions*: Any outstanding drafts (including advices and authorization to charge the depository institution's balance in another bank) drawn in the regular course of business by the reporting depository institution.

(4) *Pass-through reserve balances*: Reserve balances passed through to the Federal Reserve by the reporting institution that are also reflected as deposit liabilities of the reporting institution. This exclusion is not applicable to an institution that does not act as a correspondent bank in any pass-through reserve balance relationship. A state nonmember bank generally cannot act as a pass-through correspondent unless it maintains an account for its own reserve balances directly with the Federal Reserve.

(5) *Depository institution investment contracts*: Liabilities arising from depository institution investment contracts that are not treated as insured deposits under section 11(a)(5) of the Federal Deposit Insurance Act (12 U.S.C. 1821(a)(5)). A Depository Institution Investment Contract is a separately negotiated depository agreement between an employee benefit plan and an insured depository institution that guarantees a specified rate for all deposits made over a prescribed period and expressly permits benefit-responsive withdrawals or transfers.

(6) *Accumulated deposits:* Deposits accumulated for the payment of personal loans that are assigned or pledged to assure payment of the loans at maturity. Deposits that simply serve as collateral for loans are not an allowable exclusion.

NOTE: Item 3 is applicable only to banks filing the FFIEC 031 report form.

3 **Total foreign deposits, including interest accrued and unpaid thereon (included in item 2 above).** Report on an unconsolidated single FDIC certificate number basis the total amount of foreign deposits (including International Banking Facility deposits), including interest accrued and unpaid on these deposits, as of the calendar quarter-end report date included in Schedule RC-O, item 2 above.

4 **Average consolidated total assets for the calendar quarter.** Report average consolidated total assets for the calendar quarter on a single FDIC certificate number basis in accordance with the guidance on "Averaging method" and "Measuring average consolidated total assets" below. For purposes of this item, average consolidated total assets is not a quarterly average of total assets measured in accordance with the instructions for Schedule RC, item 12, "Total assets."

Averaging methods – An institution that reported $1 billion or more in quarter-end consolidated total assets in its Consolidated Reports of Condition and Income (Schedule RC, item 12, "Total assets") or Thrift Financial Report (Schedule SC, line item SC60, "Total assets") for March 31, 2011, and any institution that becomes FDIC-insured after March 31, 2011, must report average consolidated total assets in this item on a daily average basis. An institution that reported less than $1 billion in quarter-end consolidated total assets in its Consolidated Reports of Condition and Income (Schedule RC, item 12, "Total assets") or Thrift Financial Report (Schedule SC, line item SC60, "Total assets") for March 31, 2011, may report average consolidated total assets in this item on a weekly average basis, or it may at any time opt permanently to report average consolidated total assets on a daily average basis. Once an institution that reports average consolidated total assets using a

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4 (cont.) weekly average reports average consolidated total assets of $1 billion or more in this item for two consecutive quarters, it must permanently report average consolidated total assets using daily averaging beginning the next quarter.

Daily average consolidated total assets should be calculated by adding the institution's consolidated total assets as of the close of business for each day of the calendar quarter and dividing by the number of days in the calendar quarter (the number of days in a quarter ranges from 90 days to 92 days). For days that an institution is closed (e.g., Saturdays, Sundays, or holidays), the amount from the previous business day would be used. An institution is considered closed if there are no transactions posted to the general ledger as of that date.

Weekly average consolidated total assets should be calculated by adding the institution's consolidated total assets as of the close of business on each Wednesday during the calendar quarter and dividing by the number of Wednesdays in the quarter.

An institution that becomes newly insured and begins operating during the calendar quarter should report average consolidated total assets on a daily average basis. Daily average consolidated total assets for such an institution should be calculated by adding the institution's consolidated total assets as of the close of business for each day during the quarter since it became insured and operational, and dividing by the number of calendar days since it became insured and operational.

Measuring average consolidated total assets – Average consolidated total assets should be measured in accordance with the instructions for Schedule RC-K, item 9, average "Total assets" (i.e., including the adjustment for available-for-sale debt securities), except as follows:

(1) If the reporting institution has an FDIC-insured depository institution subsidiary, the subsidiary should not be consolidated. Instead, the reporting institution's investment in this subsidiary should be included in average consolidated total assets using the equity method of accounting.
(2) If the reporting institution is the surviving or resulting institution in a merger or consolidation that occurred during the calendar quarter, the reporting institution should calculate its average consolidated total assets by including the consolidated total assets of all FDIC-insured depository institutions that were merged or consolidated into the reporting institution as if the merger or consolidation occurred on the first day of the calendar quarter. Acceptable methods for including a merged or consolidated FDIC-insured depository institution's consolidated total assets in this calculation for the days during the calendar quarter preceding the merger or consolidation date include using either (a) the acquisition date fair value of the merged or consolidated institution's consolidated total assets for all days (or all Wednesdays) during the calendar quarter preceding the acquisition date or (b) the merged or consolidated institution's consolidated total assets, as defined for Schedule RC-K, item 9, average "Total assets," for each day (or each Wednesday) during the calendar quarter preceding the acquisition date.[1]

[1] This approach to calculating average consolidated total assets for purposes of Schedule RC-O, item 4, does not apply if the reporting institution is the surviving or resulting institution in a merger or consolidation during the calendar quarter involving an entity, such as a credit union, that is not an FDIC-insured depository institution. In such a merger or consolidation, the reporting institution should apply the guidance on business combinations in the General Instructions for Schedule RC-K when measuring average consolidated total assets for purposes of Schedule RC-O, item 4.

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4 (cont.) (3) If the reporting institution was acquired in a transaction that became effective during the calendar quarter and push down accounting was used to account for the acquisition, the reporting institution should calculate its average consolidated total assets as if the acquisition occurred on the first day of the calendar quarter. Acceptable methods for including the institution's consolidated total assets in this calculation for the days during the calendar quarter preceding the acquisition date include using either (a) the acquisition date fair value of the reporting institution's consolidated total assets for all days (or all Wednesdays) during the calendar quarter preceding the acquisition date or (b) the reporting institution's consolidated total assets, as defined for Schedule RC-K, item 9, average "Total assets," for each day (or each Wednesday) during the calendar quarter preceding the acquisition date.

4.a **Averaging method used.** Indicate the averaging method that the reporting institution used to report its average consolidated total assets in Schedule RC-O, item 4, above. For daily averaging, enter the number "1"; for weekly averaging, enter the number "2."

5 **Average tangible equity for the calendar quarter.** Report average tangible equity for the calendar quarter on an unconsolidated single FDIC certificate number basis in accordance with the guidance on "Averaging methods" and "Measuring tangible equity" below. For purposes of this item, tangible equity is defined as Tier 1 capital as set forth in the banking agencies' regulatory capital standards and reported in Schedule RC-R, Part I, item 26, except as described below under "Measuring tangible equity."

NOTE: In accordance with Section 327.5(a)(2) of the FDIC's regulations, daily averaging of tangible equity for purposes of reporting in this item is not permitted. As described below under "Averaging methods," the amount to be reported in this item should only be either: (1) quarter-end tangible equity as of the last day of the quarter; or (2) the average of the three month-end Tier 1 capital balances for the quarter.

Averaging methods – An institution that reported $1 billion or more in quarter-end consolidated total assets in its Consolidated Reports of Condition and Income (Schedule RC, item 12, "Total assets") or Thrift Financial Report (Schedule SC, line item SC60, "Total assets") for March 31, 2011, and any institution that becomes FDIC-insured after March 31, 2011, must report average tangible equity on a monthly average basis. Monthly averaging means the average of the three month-end balances within the quarter. An institution that reported less than $1 billion in quarter-end consolidated total assets in its Consolidated Reports of Condition and Income (Schedule RC, item 12, "Total assets") or Thrift Financial Report (Schedule SC, line item SC60, "Total assets") for March 31, 2011, may report its quarter-end tangible equity rather than an average amount, or it may at any time opt permanently to report average tangible equity on a monthly average basis. Once an institution that reports average consolidated total assets using a daily or weekly average reports average consolidated total assets of $1 billion or more in Schedule RC-O, item 4, for two consecutive quarters, it must permanently report average tangible equity using monthly averaging beginning the next quarter.

Monthly average tangible equity should be calculated by adding Tier 1 capital as of each month-end date during the calendar quarter (measured as described below under "Measuring tangible equity") and dividing by three. For example, monthly average tangible equity for June 30, 2014, would be the sum of Tier 1 capital as of April 30, May 31, and June 30, 2014, divided by three. However, institutions required or electing to report average tangible equity on a monthly average basis normally are not required to perform monthly provisions for credit losses or deferred tax calculations in accordance with generally accepted accounting principles for the first two months of a quarter. Accordingly, such institutions may use one third of the amount of the provisions for credit losses and deferred tax expense (benefit) reported for the calendar quarter for purposes of estimating the retained earnings component

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5 (cont.) of Tier 1 capital in each of the first two months of the quarter.

An institution that becomes newly insured and begins operating during the calendar quarter should report average tangible equity on a monthly average basis. Monthly average tangible equity for such an institution should be calculated by adding the institution's Tier 1 capital as of each month-end date during the quarter since it became insured and operational, and dividing by the number of month-end dates since it became insured and operational.

Measuring tangible equity – Institutions should measure tangible equity in accordance with the instructions for Schedule RC-R, Part I, item 26, "Tier 1 capital," except as follows:

(1) If the reporting institution has an FDIC-insured depository institution subsidiary, the subsidiary should not be consolidated. Instead, the reporting institution should measure its equity capital and its Tier 1 capital by accounting for this subsidiary using the equity method of accounting.
(2) If the reporting institution is the surviving or resulting institution in a merger or consolidation that occurred after the end of the first month of the calendar quarter and it reports its average tangible equity on a monthly average basis, the reporting institution should calculate its average tangible equity as if the merger or consolidation occurred on the first day of the calendar quarter. An acceptable method for measuring tangible equity for month-end dates during the calendar quarter preceding the merger or consolidation date would be to use the amount of Tier 1 capital for the month-end date immediately following the merger or consolidation date as the amount of Tier 1 capital for the month-end date or dates preceding the merger or consolidation date.
(3) If the reporting institution was acquired in a transaction that became effective after the end of the first month of the calendar quarter, push down accounting was used to account for the acquisition, and the institution reports its average tangible equity on a monthly average basis, the reporting institution should calculate its average tangible equity as if the acquisition occurred on the first day of the calendar quarter. An acceptable method for measuring tangible equity for month-end dates during the calendar quarter preceding the acquisition date would be to use the amount of Tier 1 capital for the month-end date immediately following the acquisition date as the amount of Tier 1 capital for the month-end date or dates preceding the acquisition date.

6 **Holdings of long-term unsecured debt issued by other FDIC-insured depository institutions.** Report on an unconsolidated single FDIC certificate number basis the balance sheet amount of the reporting institution's holdings of long-term unsecured debt issued by other FDIC-insured depository institutions. Long-term unsecured debt includes senior unsecured debt, subordinated debt, and limited-life preferred stock with a remaining maturity of at least one year that has been issued by another depository institution. Any debt for which the reporting institution has the option to redeem the debt within the next 12 months is not considered long-term and may be excluded from this item.

Depending on the form of the debt and the intent for which it is held, holdings of long-term unsecured debt issued by other insured depository institutions are included in Schedule RC-B, item 6.a, "Other domestic debt securities"; Schedule RC-C, part I, item 2, "Loans to depository institutions and acceptances of other banks"; Schedule RC-D, item 5.b, "All other debt securities"; and Schedule RC-D, item 6.d, "Other loans." For an institution that does not complete Schedule RC-D – Trading Assets and Liabilities, long-term unsecured debt issued by other insured depository institutions that is held for trading is included in Schedule RC, item 5, "Trading assets."

Exclude holdings of long-term unsecured debt issued by bank and thrift holding companies.

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7	**Unsecured "Other borrowings" with a remaining maturity of.** Report on an unconsolidated single FDIC certificate number basis the amount of the bank's unsecured "Other borrowings" (as defined for Schedule RC-M, item 5.b) in the appropriate subitems according to the amount of time remaining until their final contractual maturities. Include both fixed rate and floating rate "Other borrowings" that are unsecured. In general, "Other borrowings" are unsecured if the bank (or a consolidated subsidiary) has not pledged securities, loans, or other assets as collateral for the borrowing. The sum of Schedule RC-O, items 7.a through 7.d, must be less than or equal to Schedule RC-M, items 5.b.(1)(a) through (d) minus item 10.b. Exclude from items 7.a through 7.d all borrowings reported in Schedule RC-M, item 10.b, "Amount of 'Other borrowings' that are secured," including all obligations under capital leases accounted for under ASC Topic 840, Leases, and lease liabilities for finance leases accounted for under ASC Topic 842, Leases, as applicable. Also exclude from items 7.a through 7.d all lease liabilities for operating leases accounted for under ASC Topic 842, which are reported in Schedule RC-G, item 4, "All other liabilities."
7.a	**One year or less.** Report on an unconsolidated single FDIC certificate number basis all unsecured "Other borrowings" with a remaining maturity of one year or less. Include unsecured "Other borrowings" with a remaining maturity of over one year for which the holder has the option to redeem the debt instrument within one year of the report date. Except for such optionally redeemable borrowings, the unsecured "Other borrowings" that should be included in this item will also have been reported in Schedule RC-M, item 5.b.(2), "Other borrowings with a remaining maturity of one year or less."
7.b	**Over one year through three years.** Report on an unconsolidated single FDIC certificate number basis all unsecured "Other borrowings" with a remaining maturity of over one year through three years.
7.c	**Over three years through five years.** Report on an unconsolidated single FDIC certificate number basis all unsecured "Other borrowings" with a remaining maturity of over three years through five years.
7.d	**Over five years.** Report on an unconsolidated single FDIC certificate number basis all unsecured "Other borrowings" with a remaining maturity of over five years.
8	**Subordinated notes and debentures with a remaining maturity of.** Report on an unconsolidated single FDIC certificate number basis the amount of the bank's subordinated notes and debentures (as defined for Schedule RC, item 19, and in the Glossary entry for "subordinated notes and debentures") in the appropriate subitems according to the amount of time remaining until their final contractual maturities. Include both fixed rate and floating rate subordinated notes and debentures. The sum of Schedule RC-O, items 8.a through 8.d, must be less than or equal to Schedule RC, item 19, "Subordinated notes and debentures."
8.a	**One year or less.** Report on an unconsolidated single FDIC certificate number basis all subordinated notes and debentures with a remaining maturity of one year or less. Include subordinated notes and debentures with a remaining maturity of over one year for which the holder has the option to redeem the subordinated debt within one year of the report date.
8.b	**Over one year through three years.** Report on an unconsolidated single FDIC certificate number basis all subordinated notes and debentures with a remaining maturity of over one year through three years.

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8.c **Over three years through five years.** Report on an unconsolidated single FDIC certificate number basis all subordinated notes and debentures with a remaining maturity of over three years through five years.

8.d **Over five years.** Report on an unconsolidated single FDIC certificate number basis all subordinated notes and debentures with a remaining maturity of over five years.

NOTE: Amounts reported in items 9 and 9.a will not be made available to the public on an individual institution basis.

9 **Brokered reciprocal deposits.** Report on an unconsolidated single FDIC certificate number basis the amount of brokered reciprocal deposits included in the amount of brokered deposits reported in Schedule RC-E, Memorandum item 1.b, "Total brokered deposits." Exclude reciprocal deposits that are not brokered reciprocal deposits. The amount reported in this item for brokered reciprocal deposits should be less than or equal to Schedule RC-E, Memorandum item 1.g, "Total reciprocal deposits."

As defined in Section 327.8(q) of the FDIC's regulations, "brokered reciprocal deposits" are "reciprocal deposits as defined in Section 337.6(e)(2)(v) of the FDIC's regulations that are not excepted from the institution's brokered deposits pursuant to Section 337.6(e)" of the FDIC's regulations.

As defined in Section 337.6(e)(2)(v) of the FDIC's regulations, "reciprocal deposits" means "deposits received by an agent institution through a deposit placement network with the same maturity (if any) and in the same aggregate amount as covered deposits placed by the agent institution in other network member banks." All reciprocal deposits, whether they are brokered reciprocal deposits or not, should be reported in Schedule RC-E, Memorandum item 1.g. The definitions of the terms "covered deposit," "deposit placement network," and "network member bank" are included in the instructions for Schedule RC-E, Memorandum item 1.g.

Limited Exception for Reciprocal Deposits

An "agent institution," as defined in Section 337.6(b)(2)(ii)(e)(1) of the FDIC regulations and 12 U.S.C. 1831f(i), as amended by Section 902 of the 21st Century ROAD to Housing Act, can except reciprocal deposits from being classified (and reported in Schedule RC-E, Memorandum item 1.b) as brokered deposits up to its applicable statutory caps, described below.

Under the *general cap*, an agent institution may except reciprocal deposits from treatment as brokered deposits up to the sum of:

(1) 50 percent of the portion of the total liabilities of the agent institution that is less than or equal to $1 billion;

(2) 40 percent of the portion, if any, of the total liabilities of the agent institution that is greater than $1 billion, but less than or equal to $10 billion; and

(3) 30 percent of the portion, if any, of the total liabilities of the agent institution that is greater than $10 billion, but less than or equal to $96,333,333,333.

Reciprocal deposits in excess of the general cap, as well as those reciprocal deposits that do not meet the definition of "covered deposit" under Section 337.6(b)(2)(ii)(e)(2)(ii) of the FDIC's regulations, are brokered deposits and must be reported in Schedule RC-E, Memorandum item 1.b.

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9 (cont.)

Definition of Special Cap – A *special cap* applies if the institution has been assigned a composite CAMELS rating of "4" or "5," or is not well capitalized.[1] The special cap is defined as:

> "the average amount of reciprocal deposits held by the agent institution on the last day of each of the 4 calendar quarters preceding the calendar quarter in which the agent institution was found not to have a composite condition of outstanding or good or was determined to be not well capitalized."

In no event, however, can an institution's non-brokered reciprocal deposits exceed the general cap.

Agent Institution – An institution that has been assigned a composite CAMELS rating of "4" or "5" or is not well capitalized may qualify as an "agent institution" if:

(1) The amount of reciprocal deposits that the institution holds is below or equal to the special cap as of the quarter-end date of the Call Report for which the institution is filing; OR

(2) The amount of reciprocal deposits that it holds as of the first quarter of being subject to the special cap is above the special cap, if such deposits were received before the institution became subject to the special cap, and it does not subsequently place a covered deposit through a deposit placement network that causes its total amount of reciprocal deposits to exceed the special cap.

If an institution, subject to the special cap, receives reciprocal deposits that cause its total reciprocal deposits to be greater than the special cap, the institution will no longer meet the definition of "agent institution" and all of its reciprocal deposits should be reported as brokered deposits in Schedule RC-E, Memorandum item 1.b, and as brokered reciprocal deposits in this item 9, and, if applicable, in item 9.a, below.

An institution shall consider the effective date of a CAMELS composite rating to be the date of written notification to the institution by its primary federal regulator, or state authority, of its supervisory rating.

An institution that is not well capitalized or has been assigned a composite CAMELS rating of "4" or "5" as of the quarter-end date of the Call Report for which the institution is filing shall calculate the special cap by:

(1) Determining the most recent calendar quarter in which the institution was both well capitalized and had a composite CAMELS rating of "1" or "2" at quarter-end.
(2) Calculating the average of the total amount of reciprocal deposits held by the institution on the last day of the calendar quarter determined above (in the preceding step) and on each of the three preceding calendar quarters.

To illustrate how an institution should calculate the special cap, consider the examples after the instructions to Schedule RC-E, Memorandum item 7.

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[1] See generally, 12 CFR Part 324, Subpart H (FDIC); 12 CFR Part 208, Subpart D (Federal Reserve Board); 12 CFR Part 6 (OCC). 12 U.S.C. 1831o. "Well capitalized" is defined in 12 CFR 337.6(a)(3)(i).

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NOTE: Item 9.a is to be completed on a fully consolidated basis by institutions that own another insured depository institution.

9.a **Fully consolidated brokered reciprocal deposits.** Report on a fully consolidated basis the amount of brokered reciprocal deposits (as defined in Schedule RC-O, item 9, above) included in the amount of brokered deposits reported in Schedule RC-E, Memorandum item 1.b, "Total brokered deposits."

10 **Banker's bank certification: Does the reporting institution meet both the statutory definition of a banker's bank and the business conduct test set forth in FDIC regulations?** If the reporting institution meets both of these criteria on an unconsolidated single FDIC certificate number basis, it is a qualifying banker's bank and should answer "Yes" to item 10 and complete items 10.a and 10.b. If the reporting institution does not meet both of these criteria, it should answer "No" to item 10 and it should not complete items 10.a and 10.b.

The definition of "banker's bank" is set forth in 12 U.S.C. 24, which states that a banker's bank is an FDIC-insured bank where the stock of the bank or its parent holding company "is owned exclusively (except to the extent directors' qualifying shares are required by law) by depository institutions or depository institution holding companies (as defined in section 1813 of this title)" and the bank or its parent holding "company and all subsidiaries thereof are engaged exclusively in providing services to or for other depository institutions, their holding companies, and the officers, directors, and employees of such institutions and companies, and in providing correspondent banking services at the request of other depository institutions or their holding companies."

A bank that would otherwise meet the definition of a banker's bank, but has received funds from federal capital infusion programs (such as the Troubled Assets Relief Program and the Small Business Lending Fund), has stock owned by the FDIC as a result of bank failures, or has non-bank-owned stock resulting from equity compensation programs, is not excluded from the definition of a banker's bank for purposes of Schedule RC-O, item 10, provided the bank also meets the business conduct test.

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10 (cont.) To meet the business conduct test, which is set forth in Section 327.5(b)(3) of the FDIC's regulations, a bank must conduct 50 percent or more of its business with entities other than its parent holding company or entities other than those controlled either directly or indirectly by its parent holding company. Control has the same meaning as in Section 3(w)(5) of the Federal Deposit Insurance Act (12 U.S.C. 1813(w)(5)).

10.a **Banker's bank deduction.** A qualifying banker's bank is eligible to have the FDIC deduct certain assets from its assessment base, subject to a limit. Report in this item on an unconsolidated single FDIC certificate number basis the banker's bank deduction, which equals the sum of a qualifying banker's bank's average balances due from Federal Reserve Banks plus its average federal funds sold. These averages should be calculated on a daily or weekly basis consistent with the qualifying banker's bank's calculation of its average consolidated total assets in Schedule RC-O, item 4 (and as reported in Schedule RC-O, item 4.a).

Balances due from Federal Reserve Banks include the total balances due from Federal Reserve Banks, including the qualifying banker's bank's own reserves and other balances as well as reserve balances actually passed through to a Federal Reserve Bank by the banker's bank on behalf of its respondent depository institutions (as described in the instructions for Schedule RC-A, item 4, "Balances due from Federal Reserve Banks"). For a qualifying banker's bank that is a respondent in a pass-through reserve relationship with a correspondent bank, balances due from Federal Reserve Banks include the reserve balances the correspondent bank has passed through to a Federal Reserve Bank for the respondent banker's bank. Balances due from Federal Reserve Banks also include the qualifying banker's bank's excess balance accounts, which are limited-purpose accounts at Federal Reserve Banks for maintaining an institution's excess balances that are eligible to earn interest on their Federal Reserve balances. See the Glossary entry for "pass-through reserve balances."

Federal funds sold are defined in the instructions for Schedule RC, item 3.a, "Federal funds sold." See also the Glossary entry for "federal funds transactions."

10.b **Banker's bank deduction limit.** A qualifying banker's bank is eligible to have the FDIC deduct certain assets from its assessment base, subject to a limit. Report in this item on an unconsolidated single FDIC certificate number basis the banker's bank deduction limit, which equals the sum of a qualifying banker's bank's average deposits of commercial banks and other depository institutions in the U.S. plus its average federal funds purchased. These averages should be calculated on a daily or weekly basis consistent with the qualifying banker's bank's calculation of its average consolidated total assets in Schedule RC-O, item 4 (and as reported in Schedule RC-O, item 4.a).

Deposits of commercial banks and other depository institutions in the U.S. are defined in the instructions for Schedule RC-E, item 4.

Federal funds purchased are defined in the instructions for Schedule RC, item 14.a, "Federal funds purchased." See also the Glossary entry for "federal funds transactions."

11 **Custodial bank certification: Does the reporting institution meet the definition of a custodial bank set forth in FDIC regulations?** If the reporting institution meets the custodial bank definition on an unconsolidated single FDIC certificate number basis, it should answer "Yes" to item 11 and complete Schedule RC-O, items 11.a and 11.b. However, if a custodial bank's deduction limit as reported in item 11.b is zero, the custodial bank may leave item 11.a blank.

Item No. **Caption and Instructions**

11 (cont.) If the reporting institution does not meet the custodial bank definition, it should answer "No" to item 11 and it should not complete Schedule RC-O, items 11.a and 11.b.

A custodial bank, as defined in Section 327.5(c)(1) of the FDIC's regulations, is an insured depository institution that had:

(1) "Fiduciary and custody and safekeeping assets" (the sum of item 10, columns A and B, plus item 11, column B, in Schedule RC-T – Fiduciary and Related Services) of $50 billion or more as of the end of the previous calendar year, or
(2) Income from fiduciary activities (Schedule RI, item 5.a) that was more than 50 percent of its total revenue (interest income plus noninterest income, which is the sum of items 1.h and 5.m of Schedule RI) during the previous calendar year.

11.a **Custodial bank deduction.** An institution that meets the definition of a custodial bank is eligible to have the FDIC deduct certain assets from its assessment base, subject to the limit reported in Schedule RC-O, item 11.b. If a custodial bank's deduction limit as reported in Schedule RC O, item 11.b, is zero, the custodial bank may leave this item 11.a blank.

Report in this item on an unconsolidated single FDIC certificate number basis the custodial bank deduction, which equals average qualifying low-risk liquid assets.[1] Qualifying low-risk liquid assets are determined without regard to the maturity of the assets. Average qualifying low-risk liquid assets equals the sum of the following amounts, all on an unconsolidated single FDIC certificate number basis:

(1) The average amount of cash and balances due from depository institutions with a standardized approach risk weight for risk-based capital purposes of zero percent (as defined for Schedule RC-R, Part II, item 1, column C) plus 50 percent of the average amount of cash and balances due from depository institutions with a standardized approach risk weight of 20 percent (as defined for Schedule RC-R, Part II, item 1, column G);
(2) The average amount of held-to-maturity securities with a standardized approach risk weight for risk-based capital purposes of zero percent (as defined for Schedule RC-R, Part II, item 2.a, column C) plus 50 percent of the average amount of held-to-maturity securities with a standardized approach risk weight of 20 percent (as defined for Schedule RC-R, Part II, item 2.a, column G);
(3) The average amount of available-for-sale securities with a standardized approach risk weight for risk-based capital purposes of zero percent (as defined for Schedule RC-R, Part II, item 2.b, column C) plus 50 percent of the average amount of available-for-sale securities with a standardized approach risk weight of 20 percent (as defined for Schedule RC-R, Part II, item 2.b, column G);
(4) The average amount of federal funds sold with a standardized approach risk weight for risk-based capital purposes of zero percent (as defined for Schedule RC-R, Part II, item 3.a, column C) plus 50 percent of the average amount of federal funds sold with a standardized approach risk weight of 20 percent (as defined for Schedule RC-R, Part II, item 3.a, column G);
(5) The average amount of securities purchased under agreements to resell (as defined for Schedule RC, item 3.b) that would qualify for a standardized approach risk weight for risk-based capital purposes of zero percent plus 50 percent of the average amount of securities purchased under agreements to resell (as defined for Schedule RC, item 3.b) that would qualify for a standardized approach risk weight of 2 percent, 4 percent, or 20 percent; and

[1] An institution that has a community bank leverage ratio (CBLR) framework election in effect as of the quarter-end report date, as reported in Schedule RC-R, Part I, item 31.a (and further described in the General Instructions for Schedule RC-R, Part I) that meets the definition of a custodial bank is not required to separately report its risk-weighted assets in Schedule RC-R, Part II, in order to use the deduction.

Item No. **Caption and Instructions**

11.a (cont.)

(6) Fifty percent of the average amount of balances due from depository institutions, held-to-maturity securities, available-for-sale securities, federal funds sold, and securities purchased under agreements to resell (as defined for Schedule RC, items 1, 2.a, 2.b, 3.a, and 3.b, respectively) that qualify as on-balance sheet securitization exposures (as defined for Schedule RC-R, Part II, item 9, column A) and have a standardized approach risk weight for risk-based capital purposes of exactly 20 percent.

These averages should be calculated on a daily or weekly basis consistent with the custodial bank's calculation of its average consolidated total assets in Schedule RC-O, item 4 (and as reported in Schedule RC-O, item 4.a).

11.b **Custodial bank deduction limit.** An institution that meets the definition of a custodial bank is eligible to have the FDIC deduct certain assets from its assessment base, subject to a limit. Report in this item on an unconsolidated single FDIC certificate number basis the custodial bank deduction limit, which equals the average amount of the institution's transaction account deposit liabilities identified by the institution as being directly linked to a fiduciary, custodial, or safekeeping account reported in Schedule RC-T – Fiduciary and Related Services. The titling of a transaction account or specific references in the deposit account documents should clearly demonstrate the link between the transaction account and a fiduciary, custodial, or safekeeping account.

For deposits in domestic offices, the term "transaction account" is defined in Federal Reserve Regulation D and in the Glossary entry for "deposits" and such deposits are reported in Schedule RC-E, (part I,) item 7, column A. In general, a transaction account is a deposit or account from which the depositor or account holder is permitted to make transfers or withdrawals by negotiable or transferable instruments, payment orders of withdrawal, telephone transfers, or other similar devices for the purpose of making payments or transfers to third persons or others or from which the depositor may make third party payments at an automated teller machine, a remote service unit, or another electronic device, including by debit card. For purposes of reporting the custodial bank deduction limit in this item, a custodial bank with deposits in foreign offices should include foreign office deposit liabilities (reported in Schedule RC-E, part II) with the characteristics of a transaction account that are linked to a fiduciary, custody, or safekeeping account reported in Schedule RC-T – Fiduciary and Related Services.

Exclude from this item escrow accounts, Interest on Lawyers Trust Accounts, and other trust and custody-related deposit accounts related to commercial bank services, or otherwise offered outside a custodial bank's fiduciary business unit or another distinct business unit devoted to institutional custodial services. Also exclude all nontransaction account deposit liabilities (i.e., savings and time deposits).

This average should be calculated on a daily or weekly basis consistent with the custodial bank's calculation of its average consolidated total assets in Schedule RC-O, item 4 (and as reported in Schedule RC-O, item 4.a).

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1 **Total deposit liabilities of the bank, including related interest accrued and unpaid, less allowable exclusions, including related interest accrued and unpaid.** Memorandum items 1.a.(1) through 1.d.(2) are to be completed each quarter. These Memorandum items should be reported on an unconsolidated single FDIC certificate number basis.

The sum of Memorandum items 1.a.(1), 1.b.(1), 1.c.(1), and 1.d.(1) must equal Schedule RC-O, item 1, "Total deposit liabilities before exclusions (gross) as defined in Section 3(l) of the Federal Deposit Insurance Act and FDIC regulations," less item 2, "Total allowable exclusions, including interest accrued and unpaid on allowable exclusions (including foreign deposits)." Accordingly, all amounts included in the bank's total deposit liabilities less allowable exclusions, not just those included in its "Deposits in domestic offices" (reported in Schedule RC, item 13.a), should be reported in the appropriate subitem of Memorandum item 1. For example, the interest accrued and unpaid on a deposit account (that is not an allowable exclusion) should be reported together with the deposit account in Memorandum item 1.a.(1), 1.b.(1), 1.c.(1), or 1.d.(1), as appropriate.

The dollar amounts used as the basis for reporting the number and amount of deposit accounts in Memorandum items 1.a.(1) through 1.d.(2) reflect the deposit insurance limits of $250,000 for "retirement deposit accounts" and $250,000 for other deposit accounts.

"Retirement deposit accounts" that are eligible for $250,000 in deposit insurance coverage are deposits made in connection with the following types of retirement plans:

- Individual Retirement Accounts (IRAs), including traditional and Roth IRAs;
- Simplified Employee Pension (SEP) plans;
- "Section 457" deferred compensation plans;
- Self-directed Keogh (HR 10) plans; and
- Self-directed defined contribution plans, which are primarily 401(k) plan accounts.

The term ''self-directed'' means that the plan participants have the right to direct how their funds are invested, including the ability to direct that the funds be deposited at an FDIC-insured institution.

Retirement deposit accounts exclude Coverdell Education Savings Accounts, formerly known as Education IRAs.

In some cases, brokered certificates of deposit are issued in $1,000 amounts under a master certificate of deposit issued by a bank to a deposit broker in an amount that exceeds $250,000. For these so-called "retail brokered deposits," multiple purchases by individual depositors from an individual bank normally do not exceed the applicable deposit insurance limit ($250,000), but under current deposit insurance rules the deposit broker is not required to provide information routinely on these purchasers and their account ownership capacity to the bank issuing the deposits. If this information is not readily available to the issuing bank, these brokered certificates of deposit in $1,000 amounts may be rebuttably presumed to be fully insured and should be reported as "deposit accounts of $250,000 or less" in Schedule RC-O, Memorandum items 1.a and 1.c, below. When determining the number of deposit accounts of $250,000 or less to be reported in Schedule RC-O, Memorandum items 1.a.(2) and 1.c.(2), the issuing institution should count each such master certificate of deposit as one account, not as multiple accounts.

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Item No.	Caption and Instruction
1 (cont.)	Some brokered deposits are transaction accounts or money market deposit accounts (MMDAs) that are denominated in amounts of $0.01 and established and maintained by the deposit broker (or its agent) as agent, custodian, or other fiduciary for the broker's customers. An individual depositor's deposits within the brokered transaction account or MMDA normally do not exceed the applicable deposit insurance limit. As with retail brokered deposits, if information on these depositors and their account ownership capacity is not readily available to the bank establishing the transaction account or MMDA, the amounts in the transaction account or MMDA may be rebuttably presumed to be fully insured and should be reported as "deposit accounts of $250,000 or less" in Schedule RC-O, Memorandum items 1.a and 1.c, below. When determining the number of deposit accounts of $250,000 or less to be reported in Schedule RC-O, Memorandum items 1.a.(2) and 1.c.(2), the issuing institution should count each such brokered transaction account or MMDA as one account, not as multiple accounts. Time deposits issued to deposit brokers in the form of large ($250,000 or more) certificates of deposit that have been participated out by the broker in shares of less than $250,000 should also be reported as "deposit accounts of $250,000 or less" in Schedule RC-O, Memorandum items 1.a and 1.c, below. When determining the number of deposit accounts of $250,000 or less to be reported in Schedule RC-O, Memorandum items 1.a.(2) and 1.c.(2), the issuing institution should count each such brokered certificate of deposit as one account, not as multiple accounts. When determining the number and size of deposit accounts, each individual certificate, passbook, account, and other evidence of deposit is to be treated as a separate account. For purposes of completing this Memorandum item, multiple accounts of the same depositor should not be aggregated. In situations where a bank assigns a single account number to each depositor so that one account number may represent multiple deposit contracts between the bank and the depositor (e.g., one demand deposit account, one money market deposit account, and three certificates of deposit), each deposit contract is a separate account.
1.a	**Deposit accounts (excluding retirement accounts) of $250,000 or less.** Report in the appropriate subitem on an unconsolidated single FDIC certificate number basis the amount outstanding and the number of deposit accounts, excluding retirement deposit accounts (as defined in Schedule RC-O, Memorandum item 1), with a balance of $250,000 or less as of the report date.
1.a.(1)	**Amount of deposit accounts (excluding retirement accounts) of $250,000 or less.** Report on an unconsolidated single FDIC certificate number basis the aggregate balance of all deposit accounts, certificates, or other evidences of deposit (demand, savings, and time), excluding retirement deposit accounts, with a balance on the report date of $250,000 or less. This amount should represent the total of the balances of the deposit accounts enumerated in Schedule RC-O, Memorandum item 1.a.(2) below.
1.a.(2)	**Number of deposit accounts (excluding retirement accounts) of $250,000 or less.** Report on an unconsolidated single FDIC certificate number basis the total number of deposit accounts (demand, savings, and time), excluding retirement deposit accounts, with a balance on the report date of $250,000 or less. Count each certificate, passbook, account, and other evidence of deposit that has a balance of $250,000 or less.

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1.b	**Deposit accounts (excluding retirement accounts) of more than $250,000.** Report in the appropriate subitem on an unconsolidated single FDIC certificate number basis the amount outstanding and the number of deposit accounts, excluding retirement deposit accounts (as defined in Schedule RC-O, Memorandum item 1), with a balance of more than $250,000 as of the report date.
1.b.(1)	**Amount of deposit accounts (excluding retirement accounts) of more than $250,000.** Report on an unconsolidated single FDIC certificate number basis the aggregate balance of all deposit accounts, certificates, or other evidences of deposit (demand, savings, and time), excluding retirement deposit accounts, with a balance on the report date of more than $250,000. This amount should represent the total of the balances of the deposit accounts enumerated in Schedule RC-O, Memorandum item 1.b.(2) below.
1.b.(2)	**Number of deposit accounts (excluding retirement accounts) of more than $250,000.** Report on an unconsolidated single FDIC certificate number basis the total number of deposit accounts (demand, savings, and time), excluding retirement deposit accounts, with a balance on the report date of more than $250,000. Count each certificate, passbook, account, and other evidence of deposit that has a balance of more than $250,000.
1.c	**Retirement deposit accounts of $250,000 or less.** Report in the appropriate subitem on an unconsolidated single FDIC certificate number basis the amount outstanding and the number of retirement deposit accounts (as defined in Schedule RC-O, Memorandum item 1) with a balance of $250,000 or less as of the report date.
1.c.(1)	**Amount of retirement deposit accounts of $250,000 or less.** Report on an unconsolidated single FDIC certificate number basis the aggregate balance of all retirement deposit accounts, certificates, or other evidences of deposit (demand, savings, and time) with a balance on the report date of $250,000 or less. This amount should represent the total of the balances of the retirement deposit accounts enumerated in Schedule RC-O, Memorandum item 1.c.(2) below.
1.c.(2)	**Number of retirement deposit accounts of $250,000 or less.** Report on an unconsolidated single FDIC certificate number basis the total number of retirement deposit accounts (demand, savings, and time) with a balance on the report date of $250,000 or less. Count each certificate, passbook, account, and other evidence of deposit which has a balance of $250,000 or less.
1.d	**Retirement deposit accounts of more than $250,000.** Report in the appropriate subitem on an unconsolidated single FDIC certificate number basis the amount outstanding and the number of retirement deposit accounts (as defined in Schedule RC-O, Memorandum item 1) with a balance of more than $250,000 as of the report date.
1.d.(1)	**Amount of retirement deposit accounts of more than $250,000.** Report on an unconsolidated single FDIC certificate number basis the aggregate balance of all retirement deposit accounts, certificates, or other evidences of deposit (demand, savings, and time) with a balance on the report date of more than $250,000. This amount should represent the total of the balances of the retirement deposit accounts enumerated in Schedule RC-O. Memorandum item 1.d.(2) below.

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1.d.(2) **Number of retirement deposit accounts of more than $250,000.** Report on an unconsolidated single FDIC certificate number basis the total number of retirement deposit accounts (demand, savings, and time) with a balance on the report date of more than $250,000. Count each certificate, passbook, account, and other evidence of deposit which has a balance of more than $250,000.

2 **Estimated amount of uninsured deposits (in domestic offices of the bank and in insured branches in Puerto Rico and U.S. territories and possessions), including related interest accrued and unpaid.**

Schedule RC-O, Memorandum item 2, is to be completed on an unconsolidated single FDIC certificate number basis by banks with $1 billion or more in total assets.

Report on an unconsolidated single FDIC certificate number basis the estimated amount of the bank's deposits (in domestic offices and in insured branches in Puerto Rico and U.S. territories and possessions) that is not covered by federal deposit insurance. This estimate should reflect the deposit insurance limits of $250,000 for "retirement deposit accounts" (as defined in Schedule RC-O, Memorandum item 1) and $250,000 for other deposit accounts. The reporting of this uninsured deposit information is mandated by Section 7(a)(9) of the Federal Deposit Insurance Act.

The estimated amount of uninsured deposits reported in this item should be based on the bank's deposits included in Schedule RC-O, item 1, "Total deposit liabilities before exclusions (gross) as defined in Section 3(l) of the Federal Deposit Insurance Act and FDIC regulations," less item 2, "Total allowable exclusions, including interest accrued and unpaid on allowable exclusions (including foreign deposits)." In addition to the uninsured portion of deposits in "domestic offices" reported in Schedule RC, item 13.a, the estimate of uninsured deposits should take into account all other items included in Schedule RC-O, item 1 less item 2, including, but not limited to:

- Interest accrued and unpaid on deposits in domestic offices;
- Deposits in insured branches in Puerto Rico and U.S. territories and possessions (including interest accrued and unpaid on these deposits);
- Deposits of consolidated subsidiaries in domestic offices and in insured branches in Puerto Rico and U.S. territories and possessions (including interest accrued and unpaid on these deposits); and
- Deposit liabilities that have been reduced by assets netted against these liabilities in accordance with generally accepted accounting principles.

The bank's estimate of its uninsured deposits should be reported in accordance with the following criteria. In this regard, it is recognized that a bank may have multiple automated information systems for different types of deposits and that the capabilities of a bank's

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2 (cont.) information systems to provide an estimate of its uninsured deposits will differ from bank to bank at any point in time and, within an individual institution, may improve over time.

(1) If the bank has brokered deposits, which must be reported in Schedule RC-E, Memorandum item 1.b, "Total brokered deposits," it must use the information it has developed for completing Schedule RC-E, Memorandum item 1.c, "Brokered deposits of $250,000 or less (fully insured brokered deposits)," to determine its best estimate of the uninsured portion of its brokered deposits.

(2) If the bank has deposit accounts whose ownership is based on a fiduciary relationship, Part 330 of the FDIC's regulations generally states that the titling of the deposit account (together with the underlying records) must indicate the existence of the fiduciary relationship in order for insurance coverage to be available on a "pass-through" basis. Fiduciary relationships include, but are not limited to, relationships involving a trustee, agent, nominee, guardian, executor, or custodian.

A bank with fiduciary deposit accounts with balances of more than $250,000 must diligently use the available data on these deposit accounts, including data indicating the existence of different principal and income beneficiaries and data indicating that some or all of the funds on deposit represent retirement deposit accounts eligible for $250,000 in deposit insurance coverage, to determine its best estimate of the uninsured portion of these accounts.

(3) If the bank has deposit accounts of employee benefit plans, Part 330 of the FDIC's regulations states that these accounts are insured on a "pass-through" basis for the non-contingent interest of each plan participant provided that certain prescribed recordkeeping requirements are met. A bank with employee benefit plan deposit accounts with balances of more than $250,000 must diligently use the available data on these deposit accounts to determine its best estimate of the uninsured portion of these accounts.

(4) If the bank's deposit accounts include benefit-responsive "Depository Institution Investment Contracts," which must be included in Schedule RC-O, item 2, these deposit liabilities are not eligible for federal deposit insurance pursuant to Section 11(a)(8) of the Federal Deposit Insurance Act. A bank with benefit-responsive "Depository Institution Investment Contracts" must include the entire amount of these contracts in the estimated amount of uninsured deposits it reports in this Memorandum item 2.

(5) If the bank has deposit accounts with balances in excess of the federal deposit insurance limit that it has collateralized by pledging assets, such as deposits of the U.S. Government and of states and political subdivisions in the U.S. (which must be reported in Schedule RC-E, items 2 and 3, and, on the FFIEC 031 report form, in Schedule RC-E, part II, item 5, if applicable), the bank should make a reasonable estimate of the portion of these deposits that is uninsured using the data available from its information systems.

(6) If the bank has deposit accounts with balances in excess of the federal deposit insurance limit for which it has acquired private deposit insurance to cover this excess amount, the bank should make a reasonable estimate of the portion of these deposits that is not insured by the FDIC using the data available from its information systems.

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2 (cont.) (7) For all other deposit accounts, the bank should make a reasonable estimate of the portion of these deposits that is uninsured using the data available from its information systems. In developing this estimate, if the bank has automated information systems in place that enable it to identify jointly owned accounts and estimate the deposit insurance coverage of these deposits, the higher level of insurance afforded these joint accounts should be taken into consideration. Similarly, if the bank has automated information systems in place that enable it to classify accounts by deposit owner and/or ownership capacity, the bank should incorporate this information into its estimate of the amount of uninsured deposits by aggregating accounts held by the same deposit owner in the same ownership capacity before applying the $250,000 insurance limit. Ownership capacities include, but are not limited to, single ownership, joint ownership, business (excluding sole proprietorships), revocable trusts, irrevocable trusts, and retirement accounts.

In the absence of automated information systems, a bank may use nonautomated information such as paper files or less formal knowledge of its depositors if such information provides reasonable estimates of appropriate portions of its uninsured deposits. A bank's use of such nonautomated sources of information is considered appropriate unless errors associated with the use of such sources would contribute significantly to an overall error in the FDIC's estimate of the amount of insured and uninsured deposits in the banking system.

3 **Has the reporting institution been consolidated with a parent bank or savings association in that parent bank's or parent savings association's Call Report?** If the reporting institution is owned by another bank or savings association and that parent bank or parent savings association is consolidating the reporting institution as part of the parent institution's Call Report for this report date, report the legal title and FDIC Certificate Number of the parent institution in this item.

NOTE: Memorandum item 4 is applicable only to banks filing the FFIEC 031 report form.

4 **Dually payable deposits in the reporting institution's foreign branches.** Report the amount of deposits included in Schedule RC, item 13.b, Deposits "In foreign offices, Edge and Agreement subsidiaries, and IBFs," that are carried on the books and records of an office of the reporting institution located outside of any state and payable at both that office and a branch of the reporting institution in any state. For purposes of this item, the term "state" is defined in Section 3(a)(3) of the Federal Deposit Insurance Act and means "any State of the United States, the District of Columbia, any territory of the United States, Puerto Rico, Guam, American Samoa, the Trust Territory of the Pacific Islands, the Virgin Islands, and the Northern Mariana Islands."

Exclude deposits held in Overseas Military Banking Facilities operated under Department of Defense regulations, 32 CFR Parts 230 and 231. Such facilities are not considered offices located outside any state of the United States. Deposits at Overseas Military Banking Facilities are to be reported in Schedule RC-E, Part I, as deposits in domestic offices.

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General Instructions for Schedule RC-O, Memorandum items 5 through 18

Memorandum items 5 through 18 are applicable only to large institutions and/or highly complex institutions as defined below. Amounts reported in Memorandum items 6 through 9, 14, 15, and 18 will not be made available to the public on an individual institution basis. Large institutions and highly complex institutions should complete Memorandum items 5 through 18, as appropriate, on a fully consolidated basis. Thus, when a large institution or highly complex institution owns another FDIC-insured institution as a subsidiary, it should complete Memorandum items 5 through 18, as appropriate, on a fully consolidated basis.

According to Section 327.8(f) of the FDIC's regulations, a large institution is an FDIC-insured bank or savings association that reported total assets of $10 billion or more as of December 31, 2006, that does not meet the definition of a highly complex institution. After December 31, 2006, if a bank or savings association classified as a small institution in accordance with Section 327.8(e) of the FDIC's regulations reports total assets of $10 billion or more for four consecutive quarters, the bank or savings association will be classified as a large institution beginning the following quarter. In the Consolidated Reports of Condition and Income, an FDIC-insured depository institution's total assets are reported in Schedule RC, item 12.

An institution that has a community bank leverage ratio (CBLR) framework election in effect as of the quarter-end report date, as reported in Schedule RC-R, Part I, item 31.a (and further described in the General Instructions for Schedule RC-R, Part I), shall be classified as a small institution for deposit insurance assessments, even if that institution otherwise would be classified as a large institution.[1]

According to Section 327.8(g) of the FDIC's regulations, a highly complex institution is an FDIC-insured bank or savings association (excluding a credit card bank[2]) that:

(1) Has had $50 billion or more in total assets for at least four consecutive quarters that either is controlled by a U.S. parent holding company that has had $500 billion or more in total assets for four consecutive quarters, or is controlled by one or more intermediate U.S. parent holding companies that are controlled by a U.S. holding company that has had $500 billion or more in total assets for four consecutive quarters; or

(2) Is a processing bank or trust company that has had $10 billion or more in total assets for at least four consecutive quarters. According to Section 327.8(s) of the FDIC's regulations, a processing bank or trust company is "an institution whose last three years' non-lending interest income, fiduciary revenues, and investment banking fees, combined, exceed 50 percent of total revenues (and its last three years fiduciary revenues are non-zero), and whose total fiduciary assets total $500 billion or more."

[1] An institution that has a CBLR framework election in effect as of the quarter-end report date that meets the definition of an established depository institution under 12 CFR 327.8(k), generally one that has been federally insured for at least five years, will be assessed as an established small institution. An institution that has a CBLR framework election in effect as of the quarter-end report date that has been federally insured for less than five years will be assessed as a new small institution under 12 CFR 327.8(w). An institution that has a CBLR framework election in effect as of the quarter-end report date with assets between $5 and $10 billion cannot request to be treated as a large institution for deposit insurance assessments under 12 CFR 327.16(f).

[2] As defined in Section 327.8(t) of the FDIC's regulations, a credit card bank is "a bank for which credit card receivables plus securitized receivables exceed 50 percent of assets plus securitized receivables."

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General Instructions for Schedule RC-O, Memorandum items 5 through 18 (cont.)

If, after December 31, 2010, a bank or savings association classified as a highly complex institution falls below $50 billion in total assets for four consecutive quarters, or its parent company or companies fall below $500 billion in total assets for four consecutive quarters, or a processing bank or trust company falls below $10 billion in total assets for four consecutive quarters, the FDIC will reclassify the bank or savings association as a large institution or a small institution, as appropriate,[1] beginning the quarter after the fourth consecutive quarter.

Amounts Guaranteed or Insured by the U.S. Government, its Agencies, or its Government-Sponsored Agencies – The instructions for Schedule RC-O, Memorandum items 6, 11, and 16 refer to amounts recoverable from, or guaranteed or insured by, the U.S. government, its agencies, or its government-sponsored agencies under guarantee or insurance provisions. Examples include guarantees or insurance (or reinsurance) provided by the Department of Veterans Affairs, the Federal Housing Administration, the Small Business Administration (SBA), the Department of Agriculture Rural Development Loan Program, and the Department of Education for individual loans as well as coverage provided by the FDIC under loss-sharing agreements. For loan securitizations and securities, examples include those guaranteed by the Government National Mortgage Association, the Federal National Mortgage Association (Fannie Mae), and the Federal Home Loan Mortgage Corporation (Freddie Mac) as well as SBA Guaranteed Loan Pool Certificates and securities covered by FDIC loss-sharing agreements. However, if an institution holds securities backed by mortgages it has transferred to Fannie Mae or Freddie Mac with recourse or other transferor-provided credit enhancements, these securities should not be considered guaranteed to the extent of the institution's maximum contractual credit exposure arising from the credit enhancements.

Amounts Guaranteed or Insured by the U.S. Government – The instructions for Schedule RC-O, Memorandum items 7 through 10, 13, and 18 refer to the maximum amounts recoverable from the U.S. Government. Amounts recoverable from the U.S. government do *not* include amounts recoverable from government-sponsored agencies (also known as government-sponsored enterprises) including the Federal National Mortgage Association (Fannie Mae), the Federal Home Loan Mortgage Corporation (Freddie Mac), the Federal Home Loan Banks, and the Farm Credit System.

[1] An institution that has a community bank leverage ratio (CBLR) framework election in effect as of the quarter-end report date, as reported in Schedule RC-R, Part I, item 31.a (and further described in the General Instructions for Schedule RC-R, Part I), shall be classified as a small institution, even if that institution otherwise would be classified as a large institution.

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General Instructions for Schedule RC-O, Memorandum items 5 through 18 (cont.)

NOTE: Because certain information on coverage under FDIC loss-sharing agreements is reported elsewhere in the Consolidated Reports of Condition and Income, the treatment of FDIC loss-sharing agreements varies in Schedule RC-O, Memorandum items 6 through 9, 10.b, 11, 13, 16, and 18.

Higher-risk Securitizations – For purposes of Schedule RC-O, Memorandum items 7.b, 8.b, and 9.b, higher-risk securitizations are securitizations where more than 50 percent of the assets backing the securitization meet the criteria for "nontraditional 1-4 family residential mortgage loans," "higher-risk consumer loans," or "higher-risk commercial and industrial loans and securities" as those terms are defined in the instructions for Schedule RC-O, Memorandum items 7.a, 8.a, and 9.a, and in Appendix C to Subpart A to Part 327 of the FDIC's regulations.

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NOTE: Memorandum items 5 through 12 are to be completed on a fully consolidated basis by "large institutions" and "highly complex institutions."

NOTE: Schedule RC-O, Memorandum item 5, is to be completed only by large and highly complex institutions that have adopted ASU 2016-13, which addresses the accounting for credit losses, and report having a current expected credit losses (CECL) transition election in effect as of the current report date in Schedule RC-R, Part I, item 2.a.

5 **Applicable portion of the CECL transitional amount or modified CECL transitional amount that has been added to retained earnings for regulatory capital purposes as of the current report date and is attributable to loans and leases held for investment.** For an institution that has a 3-year CECL transition election in effect as of the current report date (i.e., an institution that entered a "1" in Schedule RC-R, Part I, item 2.a), report the applicable portion of the CECL transitional amount that has been added to retained earnings for regulatory capital purposes as of the current report date (as reported in Schedule RC-R, Part I, item 2) and is attributable to loans and leases held for investment (hereafter, loans and leases).

- As defined in section 301 of the regulatory capital rule,[1] the term "CECL transitional amount" means the difference, net of any deferred tax assets (DTAs), in the amount of an institution's retained earnings as of the beginning of the fiscal year in which the institution adopts the CECL methodology from the amount of the institution's retained earnings as of the closing of the fiscal year-end immediately prior to the institution's adoption of CECL. Thus, the CECL transitional amount reflects the effect on retained earnings, net of any DTAs, of establishing allowances for credit losses in accordance with CECL on loans and leases, held-to-maturity debt securities, other financial assets measured at amortized cost, and off-balance sheet credit exposures as of the beginning of the fiscal year of adoption (e.g., January 1, 2020).

- The CECL transitional amount attributable to loans and leases is the CECL transitional amount that remains after excluding the adoption date effect on retained earnings, net of any DTAs, of establishing allowances for credit losses in accordance with CECL on held-to-maturity debt securities, other financial assets measured at amortized cost, and off-balance sheet credit exposures.

For a 3-year CECL electing institution, the applicable portion of the CECL transitional amount attributable to loans and leases is 75 percent of the institution's CECL transitional amount attributable to loans and leases during the first year of the transition period (as defined for the

[1] See 12 CFR 3.301 (OCC); 12 CFR 217.301 (Board); and 12 CFR 324.301 (FDIC).

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5 (cont.)

3-year CECL transition provision in section 301 of the regulatory capital rule); 50 percent of its CECL transitional amount attributable to loans and leases during the second year of the transition period; and 25 percent of its CECL transitional amount attributable to loans and leases during the third year of the transition period.

For an institution that has a 5-year 2020 CECL transition election in effect as of the current report date (i.e., an institution that entered a "2" in Schedule RC-R, Part I, item 2.a), report the applicable portion of the modified CECL transitional amount that has been added to retained earnings for regulatory capital purposes reported as of the current report date (as reported in Schedule RC-R, Part I, item 2) and is attributable to loans and leases.

- As defined in section 2 of the regulatory capital rule,[1] the term "adjusted allowances for credit losses" (AACL) means, with respect to an institution that has adopted CECL, valuation allowances that have been established through a charge against earnings or retained earnings for expected credit losses on financial assets measured at amortized cost and a lessor's net investment in leases that have been established to reduce the amortized cost basis of the assets to amounts expected to be collected as determined in accordance with U.S. generally accepted accounting principles (GAAP). The AACL includes allowances for expected credit losses on off-balance sheet credit exposures not accounted for as insurance as determined in accordance with GAAP. The AACL excludes "allocated transfer risk reserves" and allowances created that reflect credit losses on purchased credit deteriorated assets and available-for-sale debt securities.
- Consistent with the definition of the term "modified CECL transitional amount" in section 301 of the regulatory capital rule, the modified CECL transitional amount attributable to loans and leases is the CECL transitional amount attributable to loans and leases, as described above, plus:
  - During the first two years of the transition period, the difference between the AACL on loans and leases as reported in the Call Report as of the current report date and the AACL on loans and leases as of the beginning of the fiscal year in which the institution adopts CECL, multiplied by 0.25; and
  - During the last three years of the transition period, the difference between the AACL on loans and leases as reported in the Call Report at the end of the second year of the transition period and the AACL on loans and leases as of the beginning of the fiscal year in which the institution adopts CECL multiplied by 0.25.

For a 5-year CECL electing institution, the applicable portion of the modified CECL transitional amount attributable to loans and leases is 100 percent of the institution's modified CECL transitional amount attributable to loans and leases during the first and second years of the transition period (as defined for the 5-year 2020 CECL transition provision in section 301 of the regulatory capital rule); 75 percent of its modified CECL transitional amount attributable to loans and leases during the third year of the transition period; 50 percent of its modified CECL transitional amount attributable to loans and leases during the fourth year of the transition period; and 25 percent of its modified CECL transitional amount attributable to loans and leases during the fifth year of the transition period.

For further information on the CECL transition provisions, see the "3-Year and 5-Year 2020 CECL Transition Provisions" section of the General Instructions for Schedule RC-R, Part I, and section 301 of the regulatory capital rule.

[1] See 12 CFR 3.2 (OCC); 12 CFR 217.2 (Board); and 12 CFR 324.2 (FDIC).

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5 (cont.)	To illustrate how an institution should calculate the applicable portion of the CECL transitional amount or modified CECL transitional amount that has been added to retained earnings for regulatory capital purposes as of the current report date and is attributable to loans and leases held for investment, consider the examples after the instructions to Schedule RC-O, Memorandum item 18.j.
6	**Criticized and classified items.** Criticized and classified items should be reported on a consolidated basis and include all on- and off-balance sheet items an institution or its primary federal regulator has graded Special Mention or worse (Substandard, Doubtful, or Loss). Such items include, but are not limited to, retail items adversely classified under the agencies' Uniform Retail Credit Classification and Account Management Policy, securities, funded and unfunded loans,[1] other real estate owned, other assets, and marked-to-market counterparty positions (less credit valuation adjustments for these counterparty positions).[2] Criticized and classified items exclude loans and securities reported as trading assets, and the amount recoverable on an on- or off-balance sheet item from the U.S. government, its agencies, or its government-sponsored agencies under guarantee or insurance provisions, including FDIC loss-sharing agreements. For purposes of the criticized and classified items definition, Loss items include any items graded Loss that have not yet been written off against the allowance for loan and lease losses (or another valuation allowance) or charged directly to earnings, as appropriate. However, because an item should be written off or charged off in the period in which the item is deemed Loss, the amount reported in Memorandum item 6.d, below, generally should be zero. A marked-to-market counterparty position is equal to the sum of the net marked-to-market derivative exposures for each counterparty. The net marked-to-market derivative exposure equals the sum of all positive marked-to-market exposures net of legally enforceable netting provisions and net of all collateral held under a legally enforceable Credit Support Annex plus any exposure where excess collateral has been posted to the counterparty. For purposes of this item, a marked-to-market counterparty position less any credit valuation adjustment can never be less than zero.

[1] The amount of the unfunded loan that should be reported as criticized or classified should equal the amount that the borrower is entitled to draw upon as of the reporting date, i.e., the unused commitment as defined in the instructions for Schedule RC-L, item 1.

[2] An institution that has not previously measured its marked-to-market counterparty positions net of any applicable credit valuation adjustments for purposes of reporting criticized and classified items internally and to its primary federal regulator may report these positions in this same manner in Schedule RC-O, Memorandum item 6, particularly if the institution concludes that updating its reporting systems to net these adjustments would impose an undue burden on the institution.

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6.a	**Special mention.** Report on a fully consolidated basis the amount of on- and off-balance sheet items the reporting institution or its primary federal regulator has graded Special Mention.
6.b	**Substandard.** Report on a fully consolidated basis the amount of on- and off-balance sheet items the reporting institution or its primary federal regulator has graded Substandard.
6.c	**Doubtful.** Report on a fully consolidated basis the amount of on- and off-balance sheet items the reporting institution or its primary federal regulator has graded Doubtful.
6.d	**Loss.** Report on a fully consolidated basis the amount of on- and off-balance sheet items the reporting institution or its primary federal regulator has graded Loss.
7	**"Nontraditional 1-4 family residential mortgage loans" as defined for assessment purposes only in FDIC regulations.** Report in the appropriate subitem on a fully consolidated basis the balance sheet amount of nontraditional 1-4 family residential mortgage loans and securitizations of such mortgage loans.
7.a	**Nontraditional 1-4 family residential mortgage loans.** Report on a fully consolidated basis the balance sheet amount of nontraditional 1-4 family residential mortgage loans, as defined for assessment purposes only in Appendix C to Subpart A to Part 327 of the FDIC's regulations. Nontraditional 1-4 family residential mortgage loans include all 1-4 family residential loan products (as defined for Schedule RC-C, part I, item 1.c) that allow the borrower to defer repayment of principal or interest and includes all interest-only products, teaser rate mortgages, and negative amortizing mortgages, with the exception of home equity lines of credit and reverse mortgages. Nontraditional 1-4 family residential mortgage loans do not include loans reported as trading assets in Schedule RC, item 5; conventional fully amortizing adjustable rate mortgage loans that do not have a teaser rate; business-purpose loans secured by one or more 1-4 family residential properties; and interest-only residential construction loans, but include conventional fully amortizing adjustable rate mortgage loans that have a teaser rate. A teaser-rate mortgage loan is defined for assessment purposes as a mortgage with a discounted initial rate. A discounted initial rate is an effective interest rate at the time of origination or refinancing that is less than the rate the bank is willing to accept for an otherwise similar extension of credit with comparable risk. A mortgage loan is no longer considered a nontraditional 1-4 family residential mortgage loan once the teaser rate has expired, or in the case of an escalating interest rate, once the rate is no longer discounted and the borrower is making full principal and interest payments (has not been granted any principal and interest concessions). Nontraditional 1-4 family residential mortgage loans can be reclassified as traditional loans once they become fully amortizing loans, provided they no longer have a teaser rate. The amount to be reported in this item for nontraditional 1-4 family residential mortgage loans should include purchased credit-impaired loans as defined in ASC Subtopic 310-30, Receivables – Loans and Debt Securities Acquired with Deteriorated Credit Quality (formerly AICPA Statement of Position 03-3, "Accounting for Certain Loans or Debt Securities Acquired in a Transfer"), provided they meet the characteristics of nontraditional 1-4 family residential mortgage loans as described above.

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Item No.	Caption and Instructions
7.a (cont.)	The amount to be reported in this item should exclude the maximum amount recoverable on nontraditional 1-4 family residential mortgage loans under guarantee or insurance provisions from the U.S. government, including the maximum amount recoverable under FDIC loss-sharing agreements.
7.b	**Securitizations of nontraditional 1-4 family residential mortgage loans.** Report on a fully consolidated basis the balance sheet amount of higher-risk securitizations where more than 50 percent of the assets backing the securitization meet the criteria for nontraditional 1-4 family residential mortgage loans (as defined for Schedule RC-O, Memorandum item 7.a, above), with the exception of those securities reported as trading assets in Schedule RC, item 5. For securitizations issued before April 1, 2013, the amount to be reported in this item should include those securitizations where more than 50 percent of the assets backing the securitization meet one or more of the criteria for nontraditional 1-4 family residential mortgage loans, with the exception of those securities reported as trading assets in Schedule RC, item 5. Alternatively, an institution may apply the definitions in Appendix C to Subpart A to Part 327 of the FDIC's regulations to all of its securitizations. For securitizations issued on or after April 1, 2013, the amount to be reported in this item should include those securitizations (with the exception of those securities reported as trading assets in Schedule RC, item 5) where more than 50 percent of the assets backing the securitization meet either the criteria for nontraditional 1-4 family residential mortgage loans or the criteria for higher-risk consumer loans (as defined for Schedule RC-O, Memorandum item 8.a, below), and the amount of nontraditional 1-4 family residential mortgage loans exceeds the amount of higher-risk consumer loans.
8	**"Higher-risk consumer loans" as defined for assessment purposes only in FDIC regulations.** Report in the appropriate subitem on a fully consolidated basis the balance sheet amount of higher-risk consumer loans and securitizations of such higher-risk consumer loans.
8.a	**Higher-risk consumer loans.** Report on a fully consolidated basis the balance sheet amount of higher-risk consumer loans, as defined for assessment purposes only in Appendix C to Subpart A to Part 327 of the FDIC's regulations, but excluding higher-risk consumer loans that have been reported as nontraditional 1-4 family residential mortgage loans in Schedule RC-O, Memorandum item 7.a, above. For assessment purposes, higher-risk consumer loans are loans secured by 1-4 family residential properties (as defined for Schedule RC-C, part I, item 1.c) and loans and leases to individuals for household, family, and other personal expenditures (as defined for Schedule RC-C, part I, items 6 and 10.a) where, as of origination, or, if the loan has been refinanced, as of refinance, the probability of default (PD) within two years is greater than 20 percent, excluding loans that meet the definition of a nontraditional 1-4 family residential mortgage loan (as defined for Schedule RC-O, Memorandum item 7.a, above). The PD must be calculated in accordance with the requirements of Appendix C to Subpart A to Part 327 of the FDIC's regulations. The amount to be reported in this item for higher-risk consumer loans should include unscoreable consumer loans (excluding loans that meet the definition of a nontraditional 1-4 family residential mortgage loan as defined for Schedule RC-O, Memorandum item 7.a, above) that meet the "de minimis approach" described in Appendix C to Subpart A to Part 327 of the FDIC's regulations. Under the "de minimis approach," if the total outstanding

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Item No.	Caption and Instructions

8.a (cont.) balance of unscoreable consumer loans of a particular product type reported in column M of Schedule RC-O, Memorandum item 18, exceeds 5 percent of the total outstanding balance for that product type (including both foreign and domestic loans) reported in column N of Schedule RC-O, Memorandum item 18, the excess amount of unscoreable loans for that product type (i.e., the amount over 5 percent) shall be reported as higher-risk consumer loans in this item.

The amount to be reported in this item for higher-risk consumer loans also should include purchased credit-impaired loans as defined in ASC Subtopic 310-30, Receivables – Loans and Debt Securities Acquired with Deteriorated Credit Quality (formerly AICPA Statement of Position 03-3, "Accounting for Certain Loans or Debt Securities Acquired in a Transfer"), provided they meet the characteristics of higher-risk consumer loans described above.

The amount to be reported in this item should exclude:

(1) Consumer loans reported as trading assets in Schedule RC, item 5.
(2) The maximum amounts recoverable on higher-risk consumer loans under guarantee or insurance provisions from the U.S. government, including the maximum amount recoverable under FDIC loss-sharing agreements.
(3) Loans fully secured by cash collateral (provided the requirements regarding loans fully secured by cash collateral that are detailed in Appendix C to Subpart A to Part 327 are met).
(4) Business-purpose loans secured by one or more 1-4 family residential properties.

8.b **Securitizations of higher-risk consumer loans.** Report on a fully consolidated basis the balance sheet amount of higher-risk securitizations issued on or after April 1, 2013, where more than 50 percent of the assets backing the securitization meet the criteria for higher-risk consumer loans (as defined for Schedule RC-O, Memorandum item 8.a, above), with the exception of those securities reported as trading assets in Schedule RC, item 5.

Securitizations of higher-risk consumer loans also include securitizations (other than those securities reported as trading assets in Schedule RC, item 5) issued on or after April 1, 2013, where more than 50 percent of the assets backing the securitization meet either the criteria for higher-risk consumer loans or the criteria for nontraditional 1-4 family residential mortgage loans (as defined for Schedule RC-O, Memorandum item 7.a, above) and the amount of higher-risk consumer loans exceeds the amount of nontraditional 1-4 family residential mortgage loans.

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Item No.	Caption and Instructions
8.b (cont.)	For securitizations issued before April 1, 2013, that contain consumer loans, the reporting institution must either: (1) Report the securitizations using the definition of subprime loans contained in the FDIC's final rule on assessments and large bank pricing, 76 Fed. Reg. 10672 (February 25, 2011), or (2) Report the securitizations if more than 50 percent of the assets backing the securitization were identified as subprime loans by the institution's then existing internal methodology for identifying loans as subprime loans.[1] Alternatively, an institution may apply the definitions in Appendix C to Subpart A to Part 327 of the FDIC's regulations to all of its securitizations.

[1] Institutions that did not have an existing methodology in place to identify subprime consumer loans and securities (because they were not required to report on these exposures to their primary federal regulator for examination or other supervisory purposes or did not measure and monitor loans and securities with these characteristics for internal risk management purposes) may, as an alternative to applying the definitions in the FDIC's assessment regulations to loans backing securitizations issued before April 1, 2013, apply then existing guidance provided by their primary federal regulator or the agencies' 2001 Expanded Guidance for Subprime Lending Programs to determine whether more than 50 percent of the assets backing the securitization are subprime consumer loans, thus requiring that the securitization be reported as a securitization of higher-risk consumer loans in Schedule RC-O, Memorandum item 8.b.

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Item No.	Caption and Instructions

9 **"Higher-risk commercial and industrial loans and securities" as defined for assessment purposes only in FDIC regulations.** Report in the appropriate subitem on a fully consolidated basis the balance sheet amount of, plus the amount of unfunded commitments for, higher-risk commercial and industrial (C&I) loans and securities and securitizations of such higher-risk C&I loans and securities.

9.a **Higher-risk commercial and industrial loans and securities.** Report on a fully consolidated basis the balance sheet amount of, plus the amount of unfunded commitments for, higher-risk commercial and industrial (C&I) loans and securities, as defined for assessment purposes only in Appendix C to Subpart A to Part 327 of the FDIC's regulations.

The amount to be reported in this item for higher-risk C&I loans and securities should include purchased credit-impaired loans and securities as defined in ASC Subtopic 310-30, Receivables – Loans and Debt Securities Acquired with Deteriorated Credit Quality (formerly AICPA Statement of Position 03-3, "Accounting for Certain Loans or Debt Securities Acquired in a Transfer"), provided the purchased credit-impaired loans and securities meet the definition of a higher-risk C&I loan or security.

The amount to be reported in this item should exclude:

(1) Loans to individuals for commercial, industrial, and professional purposes.[1]
(2) The maximum amounts recoverable on higher-risk C&I loans and securities under guarantee or insurance provisions from the U.S. government, including the maximum amount recoverable under FDIC loss-sharing agreements.
(3) Loans fully secured by cash collateral (provided the loans meet the requirements regarding loans fully secured by cash collateral that are detailed in Appendix C to Subpart A to Part 327 of the FDIC's regulations).
(4) Loans that are eligible for the asset-based or floor plan lending exclusions detailed in Appendix C to Subpart A to Part 327 of the FDIC's regulations, provided the institution's primary federal regulator has not cited a criticism (included in the Matters Requiring Attention) of the institution's controls or administration of its asset-based or floor plan loan portfolios.

For C&I loans and securities originated, refinanced, or purchased by the reporting institution before April 1, 2013, that are owed to the reporting institution by a borrower that does not meet the definition of a higher-risk C&I borrower as that term is defined in Appendix C to Subpart A to Part 327 of the FDIC's regulations, the reporting institution must continue to report these loans using:

[1] C&I loans to sole proprietorships are not exempt from the definition of higher-risk C&I loans and securities, but should be analyzed to determine whether they meet this definition.

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Item No.	Caption and Instructions

9.a (cont.) (1) The definition of leveraged loans and securities contained in the FDIC's final rule on assessments and large bank pricing, 76 Fed. Reg. 10672 (February 25, 2011), or
(2) The institution's then existing internal methodology for identifying leveraged loans.[2]

Alternatively, a reporting institution may opt to apply the definition of higher-risk C&I loans and securities in Appendix C to Subpart A to Part 327 of the FDIC's regulations to all of its C&I loans and securities without regard to when the loan was originated or refinanced (i.e., whether the loan was originated or refinanced before or after April 1, 2013).

9.b **Securitizations of higher-risk commercial and industrial loans and securities.** Report on a fully consolidated basis the balance sheet amount of higher-risk securitizations issued on or after April 1, 2013, where more than 50 percent of the assets backing the securitization meet the criteria for higher-risk commercial and industrial (C&I) loans and securities (as defined for Schedule RC-O, Memorandum item 9.a, above), with the exception of those securities reported as trading assets in Schedule RC, item 5.

For securitizations issued before April 1, 2013, that contain leveraged loans or securities, the reporting institution must either:

(1) Report the securitizations using the definition of leveraged loans and securities contained in the FDIC's final rule on assessments and large bank pricing, 76 Fed. Reg. 10672 (February 25, 2011), or
(2) Report the securitizations if more than 50 percent of the assets backing the securitization are identified as leveraged loans or securities by the institution's then existing internal methodology for identifying leveraged loans.[3]

Alternatively, an institution may apply the definitions in Appendix C to Subpart A to Part 327 of the FDIC's regulations to all of its securitizations regardless of when the securitization was issued. If a bank applies the Appendix C definition of higher-risk C&I loans and securities to all of its securitizations, it must assume all loans to the borrower were originally made or refinanced on or after April 1, 2013.

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[2] Institutions that did not have an existing methodology in place to identify leveraged loans and securities (because they were not required to report on these exposures to their primary federal regulator for examination or other supervisory purposes or did not measure and monitor loans and securities with these characteristics for internal risk management purposes) may, as an alternative to applying the definitions in the FDIC's assessment regulations to C&I loans and securities originated or refinanced before April 1, 2013, apply then existing guidance provided by their primary federal regulator or the February 2008 Comptroller's Handbook on Leveraged Lending to determine whether the loans or securities are to be reported as higher-risk C&I loans and securities in Schedule RC-O, Memorandum item 9.a.

[3] Institutions that did not have an existing methodology in place to identify leveraged loans and securities (because they were not required to report on these exposures to their primary federal regulator for examination or other supervisory purposes or did not measure and monitor loans and securities with these characteristics for internal risk management purposes) may, as an alternative to applying the definitions in the FDIC's assessment regulations to C&I loans and securities backing securitizations issued before April 1, 2013, apply then existing guidance provided by their primary federal regulator or the February 2008 Comptroller's Handbook on Leveraged Lending to determine whether more than 50 percent of the assets backing a securitization are leveraged loans, thus requiring that the securitization be reported as a securitization of higher-risk C&I loans and securities in Schedule RC-O, Memorandum item 9.b.

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Item No.	Caption and Instructions

10 **Commitments to fund construction, land development, and other land loans secured by real estate (for the consolidated bank).** For purposes of Memorandum items 10.a and 10.b, construction, land development, and other land loans are defined in the instructions for Schedule RC-C, part I, item 1.a, "Construction, land development, and other land loans." Commitments are defined in the instructions for Schedule RC-L, item 1, "Unused commitments."

10.a **Total unfunded commitments.** Report on a fully consolidated basis the unused portion of commitments to extend credit to fund construction, land development, and other land loans (in domestic and foreign offices) that, when funded, would be reportable as loans secured by real estate in Schedule RC-C, part I, item 1.a. The amount reported in this item should also have been included in the amounts reported in Schedule RC-L, items 1.c.(1)(a) and (b).

10.b **Portion of unfunded commitments guaranteed or insured by the U.S. government.** Report on a fully consolidated basis the maximum amount of the unused portion of the construction, land development, and other land loan commitments (in domestic and foreign offices) reported in Schedule RC-O, Memorandum item 10.a, above that is recoverable from the U.S. government under guarantee or insurance provisions, including the maximum amount recoverable under FDIC loss-sharing agreements.

Exclude amounts recoverable from state or local governments, state or local government agencies, foreign (non-U.S.) governments, and private agencies or organizations.

11 **Amount of other real estate owned recoverable from the U.S. government under guarantee or insurance provisions (excluding FDIC loss-sharing agreements).** Report on a fully consolidated basis the amount of other real estate owned (as defined in Schedule RC-M, item 3) that is recoverable from the U.S. government, its agencies, or its government-sponsored agencies under guarantee or insurance provisions, excluding any other real estate owned that is covered under FDIC loss-sharing agreements.

Exclude other real estate owned that is protected under guarantee or insurance provisions by state or local governments, state or local government agencies, foreign (non-U.S.) governments, and private agencies or organizations.

12 **Nonbrokered time deposits of more than $250,000 (in domestic offices).** Report on a fully consolidated basis the amount of time deposits of more than $250,000 (in domestic offices) included in Schedule RC-E, (part I), Memorandum item 2.d, that are not brokered deposits. See the Glossary entry for "brokered deposits" for the definition of this term.

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Item No. **Caption and Instructions**

NOTE: Memorandum item 13.a is to be completed by "large institutions" and "highly complex institutions." Memorandum items 13.b through 13.h are to be completed by "large institutions" only.

13 **Portion of funded loans and securities (in domestic and foreign offices) guaranteed or insured by the U.S. government (including FDIC loss-sharing agreements).** Report in the appropriate subitem on a fully consolidated basis the portion of the balance sheet amount of funded loans and securities (in domestic and foreign offices) that is guaranteed or insured by the U.S. government, including the maximum amount recoverable under FDIC loss-sharing agreements.

Exclude loans guaranteed or insured by state or local governments, state or local government agencies, foreign (non-U.S.) governments, and private agencies or organizations as well as loans collateralized by securities issued by the U.S. government.

13.a **Construction, land development, and other land loans secured by real estate.** Report on a fully consolidated basis the portion of the balance sheet amount of construction, land development, and other land loans (in domestic and foreign offices) (as defined for Schedule RC-C, part I, item 1.a) that is guaranteed or insured by the U.S. government, including the maximum amount recoverable under FDIC loss-sharing agreements.

13.b **Loans secured by multifamily residential and nonfarm nonresidential properties.** Report on a fully consolidated basis the portion of the balance sheet amount of loans secured by multifamily (5 or more) residential properties and loans secured by nonfarm nonresidential properties (in domestic and foreign offices) (as defined for Schedule RC-C, part I, items 1.d and 1.e., respectively) that is guaranteed or insured by the U.S. government, including the maximum amount recoverable under FDIC loss-sharing agreements.

13.c **Closed-end loans secured by first liens on 1-4 family residential properties.** Report on a fully consolidated basis the portion of the balance sheet amount of closed-end loans secured by first liens on 1-4 family residential properties (in domestic and foreign offices) (as defined for Schedule RC-C, part I, item 1.c.(2)(a)) that is guaranteed or insured by the U.S. government, including the maximum amount recoverable under FDIC loss-sharing agreements.

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13.d	**Closed-end loans secured by junior liens on 1-4 family residential properties and revolving, open-end loans secured by 1-4 family residential properties and extended under lines of credit.** Report on a fully consolidated basis the portion of the balance sheet amount of closed-end loans secured by junior liens on 1-4 family residential properties and revolving, open-end loans secured by 1-4 family residential properties and extended under lines of credit (in domestic and foreign offices) (as defined for Schedule RC-C, part I, items 1.c.(2)(b) and 1.c.(1), respectively) that is guaranteed or insured by the U.S. government, including the maximum amount recoverable under FDIC loss-sharing agreements.
13.e	**Commercial and industrial loans.** Report on a fully consolidated basis the portion of the balance sheet amount of commercial and industrial loans (as defined for Schedule RC-C, part I, item 4) that is guaranteed or insured by the U.S. government, including the maximum amount recoverable under FDIC loss-sharing agreements.
13.f	**Credit card loans to individuals for household, family, and other personal expenditures.** Report on a fully consolidated basis the portion of the balance sheet amount of credit card loans to individuals for household, family, and other personal expenditures (as defined for Schedule RC-C, part I, item 6.a) that is guaranteed or insured by the U.S. government, including the maximum amount recoverable under FDIC loss-sharing agreements.
13.g	**All other loans to individuals for household, family, and other personal expenditures.** Report on a fully consolidated basis the portion of the balance sheet amount of revolving credit plans other than credit cards (as defined for Schedule RC-C, part I, item 6.b), automobile loans (as defined for Schedule RC-C, part I, item 6.c), and other consumer loans (as defined for Schedule RC-C, part I, item 6.d) that is guaranteed or insured by the U.S. government, including the maximum amount recoverable under FDIC loss-sharing agreements.
13.h	**Non-agency residential mortgage-backed securities.** Report on a fully consolidated basis the portion of the balance sheet amount of residential mortgage-backed securities (as defined for Schedule RC-B, items 4.a.(3) and 4.b.(3)) that is guaranteed or insured by the U.S. government, including the maximum amount recoverable under FDIC loss-sharing agreements.

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Item No. **Caption and Instructions**

NOTE: Memorandum items 14 and 15 are to be completed by "highly complex institutions."

14 **Amount of the institution's largest counterparty exposure.** Report on a fully consolidated basis the amount of total exposure to the counterparty to which the institution has the largest total counterparty exposure.

Counterparty exposure is equal to the sum of (1) the institution's exposure amounts to one counterparty (or borrower) for derivatives, securities financing transactions (SFTs), and cleared transactions, and (2) its gross lending exposure (including all unfunded commitments) to that counterparty (or borrower).

A counterparty includes an entity's own affiliates, including its parent company. Exposures to entities that are affiliates of each other (including a bank's own affiliates) should be aggregated and treated as an exposure to a single counterparty (or borrower). Counterparty exposure excludes all counterparty exposure to the U.S. Government and departments or agencies of the U.S. Government that is unconditionally guaranteed by the full faith and credit of the United States.

The exposure amount for derivatives, including over-the-counter derivatives, cleared transactions that are derivative contracts, and netting sets of derivative contracts, must be calculated using the methodology set forth in 12 CFR 324.34(b), but without any reduction for collateral other than cash collateral that is all or part of variation margin and that satisfies the requirements of 12 CFR 324.10(c)(4)(ii)(C)(1)(ii) and (iii) and 324.10(c)(4)(ii)(C)(3) – (7). The exposure amount associated with SFTs, including cleared transactions that are SFTs, must be calculated using the standardized approach set forth in 12 CFR 324.37(b) or (c). For both derivatives and SFT exposures, the exposure amount to central counterparties must also include the default fund contribution.[1]

15 **Total amount of the institution's 20 largest counterparty exposures.** Report on a fully consolidated basis the sum of the total exposure amounts to the 20 counterparties to which the institution has the 20 largest total counterparty exposures.

Counterparty exposure should be measured as described in the instructions for Schedule RC-O, Memorandum item 14, above.

[1] SFTs include repurchase agreements, reverse repurchase agreements, security lending and borrowing, and margin lending transactions, where the value of the transactions depends on market valuations and the transactions are often subject to margin agreements. The default fund contribution is the funds contributed or commitments made by a clearing member to a central counterparty's mutualized loss sharing arrangement. The other terms used in this description are as defined in 12 CFR Part 324, Subparts A and D, unless defined otherwise in 12 CFR Part 327.

Memoranda

Item No. **Caption and Instructions**

NOTE: Memorandum item 16 is to be completed on a fully consolidated basis by "large institutions" and "highly complex institutions."

16 **Portion of loan modifications to borrowers experiencing financial difficulty that are in compliance with their modified terms and are guaranteed or insured by the U.S. government (including the FDIC).** Report on a fully consolidated basis the portion of loans modified to borrowers experiencing financial difficulty that are in compliance with their modified terms (included in Schedule RC-C, Part I, Memorandum item 1) that is guaranteed or insured by the U.S. government, its agencies, or its government-sponsored agencies, including restructured loans guaranteed under FDIC loss-sharing agreements.

Exclude restructured loans guaranteed or insured by state or local governments, state or local government agencies, foreign (non-U.S.) governments, and private agencies or organizations as well as restructured loans collateralized by securities issued by the U.S. government, including its agencies and its government-sponsored agencies.

NOTE: Memorandum item 17 is to be completed on a fully consolidated basis by "large institutions" and "highly complex institutions" that own another insured depository institution.

17 **Selected fully consolidated data for deposit insurance assessment purposes:**

17.a **Total deposit liabilities before exclusions (gross) as defined in Section 3(l) of the Federal Deposit Insurance Act and FDIC regulations.** Report on a fully consolidated basis the gross total deposit liabilities as of the calendar quarter-end report date that meet the statutory definition of deposits in Section 3(l) of the Federal Deposit Insurance Act before deducting allowable exclusions from total deposits. Refer to the instructions for Schedule RC-O, item 1, for a description of gross total deposit liabilities.

17.b **Total allowable exclusions, including interest accrued and unpaid on allowable exclusions (including foreign deposits).** Report on a fully consolidated basis the total amount of allowable exclusions from deposits as of the calendar quarter-end report date if the institution maintains records that will readily permit verification of the correctness of its reporting of exclusions. Refer to the instructions for Schedule RC-O, item 2, for a description of allowable exclusions.

17.c **Unsecured "Other borrowings" with a remaining maturity of one year or less.** Report on a fully consolidated basis the amount of the institution's "Other borrowings" (as defined for Schedule RC-M, item 5.b) that are unsecured and have a remaining maturity of one year or less. Refer to the instructions for Schedule RC-O, items 7 and 7.a, for further guidance on reporting unsecured "Other borrowings" with a remaining maturity of one year or less.

17.d **Estimated amount of uninsured deposits (in domestic offices of the institution and in insured branches in Puerto Rico and U.S. territories and possessions), including related interest accrued and unpaid.** Report on a fully consolidated basis the estimated amount of the institution's deposits (in domestic offices and in insured branches in Puerto Rico and U.S. territories and possessions) that is not covered by federal deposit insurance. Refer to the instructions for Schedule RC-O, Memorandum item 2, for further guidance on reporting the estimated amount of uninsured deposits.

Memoranda

Item No. **Caption and Instructions**

NOTE: Memorandum item 18 is to be completed on a fully consolidated basis by "large institutions" and "highly complex institutions."

18 **Outstanding balance of 1-4 family residential mortgage loans, consumer loans, and consumer leases by two-year probability of default.** Report on a fully consolidated basis the balance sheet amount of all consumer loans, as defined for assessment purposes below, segmented by nine product types and 12 two-year probability of default (PD) bands. This information is intended to supplement the amount of higher-risk consumer loans reported in Schedule RC-O, Memorandum items 7.a and 8.a, above, and should include all consumer loans, as defined for assessment purposes, regardless of whether they have a two-year PD of more than 20 percent. Institutions must calculate the PD for each consumer loan in accordance with the requirements set forth in Appendix C to Subpart A to Part 327 of the FDIC's regulations. When determining the PD band to which a consumer loan should be assigned, institutions must round the PD of the loan to the nearest hundredth of a percentage point (e.g., round a PD of 5.6789 percent to 5.68 percent).

Amounts reported in Memorandum item 18 will not be made available to the public on an individual institution basis.

For assessment purposes, consumer loans are defined as loans secured by 1-4 family residential properties (as defined for Schedule RC-C, Part I, item 1.c) and loans and leases to individuals for household, family, and other personal expenditures (as defined for Schedule RC-C, Part I, items 6 and 10.a). However, when completing Memorandum item 18, exclude:

(1) Consumer loans reported as trading assets in Schedule RC, item 5;

(2) The maximum amounts recoverable on consumer loans from the U.S. government under guarantee or insurance provisions, including the maximum amount recoverable under FDIC loss-sharing agreements; and

(3) Consumer loans fully secured by cash collateral, provided the requirements regarding loans fully secured by cash collateral that are detailed in Appendix C to Subpart A to Part 327 of the FDIC's regulations are met.

(4) All securitizations.

(5) Business-purpose loans secured by one or more 1-4 family residential properties.

The amounts to be reported in Memorandum item 18 should include purchased credit-impaired loans as defined in ASC Subtopic 310-30, Receivables – Loans and Debt Securities Acquired with Deteriorated Credit Quality (formerly AICPA Statement of Position 03-3, "Accounting for Certain Loans or Debt Securities Acquired in a Transfer").

The total amount reported in Memorandum item 18.j, column N, may be less than the balance sheet amount of consumer loans reported in Schedule RC-C, Part I, due to the exclusions noted above as well as the reporting exceptions detailed in Appendix C to Subpart A to Part 327 of the FDIC's regulations.

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18 Column Instructions
(cont.)

Columns A through L, Two-Year Probability of Default: Report each consumer loan by product type in the appropriate two-year PD band column based on the two-year PD assigned to the loan in accordance with the requirements in Appendix C to Subpart A to Part 327 of the FDIC's regulations, unless the loan is unscoreable.

Column M, Unscoreable: Report in column M the total amount of unscoreable loans by product type. Unscoreable loans are defined for assessment purposes as consumer loans where the available information about the borrower is insufficient to determine a credit score and, consequently, the loan cannot be assigned a two-year PD in accordance with the requirements in Appendix C to Subpart A to Part 327 of the FDIC's regulations. An institution may not develop two-year PD estimates for unscoreable loans based on internal data. If, after the origination or refinance of an unscoreable loan, the loan becomes scoreable, an institution must reclassify the loan using a two-year PD estimated in accordance with the requirements in Appendix C to Subpart A to Part 327 of the FDIC's regulations. An unscoreable loan must be reviewed at least annually to determine if a credit score has become available. Include in Schedule RC-O, Memorandum item 8.a, "Higher-risk consumer loans," the amount of unscoreable loans for each product type reported in column M (excluding "Nontraditional 1-4 family residential mortgage loans" reported in Memorandum item 18.a) that exceeds 5 percent of the total outstanding balance for that product type reported in column N.

Column N, Total: Report in column N the total amount of scoreable and unscoreable consumer loans by product type, i.e., the sum of columns A through M for each product type.

Column O, PDs Were Derived Using: Report in column O for each product type the method or methods used to assign PDs to the consumer loans within that product type. If the total reported in column N for a product type is zero, enter a 0 (zero) in column O for that product type. For each product type for which a nonzero dollar amount is reported in column N, enter a 1 in column O if the PDs assigned to the loans were derived using a credit score-to-default rate mapping provided by a third party vendor; enter a 2 in column O if the PDs assigned to the loans were derived using an internally developed mapping approach; and enter a 3 in column O if third party and internal mapping were applied to derive the PDs for different segments of loans within the product type.

18.a **"Nontraditional 1-4 family residential mortgage loans" as defined for assessment purposes only in FDIC regulations.** For "nontraditional 1-4 family residential mortgage loans," as defined for assessment purposes in Schedule RC-O, Memorandum item 7.a, above, report in the appropriate column the amount of such loans to which a two-year PD has been assigned, the amount of unscoreable loans within this product type, the total amount of loans in this product type, and the method(s) used to assign PDs to the loans in this product type. The amount reported in Memorandum item 18.a, column N, should be less than or equal to the amount reported in Schedule RC-O, Memorandum item 7.a.

18.b **Closed-end loans secured by first liens on 1-4 family residential properties.** For closed-end loans secured by first liens on 1-4 family residential properties, as defined for Schedule RC-C, part I, item 1.c.(2)(a) (but excluding first liens reported as "nontraditional 1-4 family residential mortgage loans" in Memorandum item 18.a, above), report in the appropriate column the amount of such loans to which a two-year PD has been assigned, the amount of unscoreable loans within this product type, the total amount of loans in this

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18.b (cont.) product type, and the method(s) used to assign PDs to the loans in this product type. The amount reported in Memorandum item 18.b, column N, should be less than or equal to:

- The amount reported in Schedule RC-C, part I, item 1.c.(2)(a), column A, less the amount reported in Schedule RC-O, Memorandum item 13.c, on the FFIEC 031;
- The amount reported in Schedule RC-C, part I, item 1.c.(2)(a), column B, less the amount reported in Schedule RC-O, Memorandum item 13.c, on the FFIEC 041.

18.c **Closed-end loans secured by junior liens on 1-4 family residential properties.** For closed-end loans secured by junior liens on 1-4 family residential properties, as defined for Schedule RC-C, part I, item 1.c.(2)(b) (but excluding junior liens reported as "nontraditional 1-4 family residential mortgage loans" in Memorandum item 18.a, above), report in the appropriate column the amount of such loans to which a two-year PD has been assigned, the amount of unscoreable loans within this product type, the total amount of loans in this product type, and the method(s) used to assign PDs to the loans in this product type. The amount reported in Memorandum item 18.c, column N, should be less than or equal to the amount reported in Schedule RC-C, part I, item 1.c.(2)(b), column A, on the FFIEC 031; Schedule RC-C, part I, item 1.c.(2)(b), column B, on the FFIEC 041.

18.d **Revolving, open-end loans secured by 1-4 family residential properties and extended under lines of credit.** For revolving, open-end loans secured by 1-4 family residential properties and extended under lines of credit, as defined for Schedule RC-C, part I, item 1.c.(1), report in the appropriate column the amount of such loans to which a two-year PD has been assigned, the amount of unscoreable loans within this product type, the total amount of loans in this product type, and the method(s) used to assign PDs to the loans in this product type. The amount reported in Memorandum item 18.d, column N, should be less than or equal to the amount reported in Schedule RC-C, part I, item 1.c.(1), column A, on the FFIEC 031; Schedule RC-C, part I, item 1.c.(1), column B, on the FFIEC 041.

18.e **Credit cards.** For credit cards to individuals for household, family, and other personal expenditures, as defined for Schedule RC-C, part I, item 6.a, report in the appropriate column the amount of such loans to which a two-year PD has been assigned, the amount of unscoreable loans within this product type, the total amount of loans in this product type, and the method(s) used to assign PDs to the loans in this product type. The amount reported in Memorandum item 18.e, column N, should be less than or equal to

- The amount reported in Schedule RC-C, part I, item 6.a, column A, less the amount reported in Schedule RC-O, Memorandum item 13.f, on the FFIEC 031;
- The amount reported in Schedule RC-C, part I, item 6.a, column B, less the amount reported in Schedule RC-O, Memorandum item 13.f, on the FFIEC 041.

18.f **Automobile loans.** For automobile loans to individuals for household, family, and other personal expenditures, as defined for Schedule RC-C, part I, item 6.c, report in the appropriate column the amount of such loans to which a two-year PD has been assigned, the amount of unscoreable loans within this product type, the total amount of loans in this product type, and the method(s) used to assign PDs to the loans in this product type. The amount reported in Memorandum item 18.f, column N, should be less than or equal to the amount reported in Schedule RC-C, part I, item 6.c, column A on the FFIEC 031; Schedule RC-C, part I, item 6.c, column B, on the FFIEC 041.

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18.g	**Student loans.** For student loans included in Schedule RC-C, part I, item 6.d, "Other consumer loans," report in the appropriate column the amount of such loans to which a two-year PD has been assigned, the amount of unscoreable loans within this product type, the total amount of loans in this product type, and the method(s) used to assign PDs to the loans in this product type.
18.h	**Other consumer loans and revolving credit plans other than credit cards.** For revolving credit plans other than credit cards to individuals for household, family, and other personal expenditures and other consumer loans, as defined for Schedule RC-C, part I, items 6.b and 6.d, respectively (but excluding student loans), report in the appropriate column the amount of such loans to which a two-year PD has been assigned, the amount of unscoreable loans within this product type, the total amount of loans in this product type, and the method(s) used to assign PDs to the loans in this product type. The sum of the amounts reported in Memorandum items 18.g and 18.h, column N, should be less than or equal to the sum of the amounts reported in Schedule RC-C, part I, items 6.b and 6.d, column A, on the FFIEC 031; Schedule RC-C, part I, items 6.b and 6.d, column B, on the FFIEC 041.
18.i	**Consumer leases.** For leases to individuals for household, family, and other personal expenditures, as defined for Schedule RC-C, part I, item 10.a, report in the appropriate column the amount of such leases to which a two-year PD has been assigned, the amount of unscoreable leases within this product type, the total amount of leases in this product type, and the method(s) used to assign PDs to the leases in this product type. The amount reported in Memorandum item 18.i, column N, should be less than or equal to the amount reported in Schedule RC-C, part I, item 10.a, column A.
18.j	**Total.** For each of columns A through N, report the sum of Memorandum items 18.a through 18.i. Memorandum item 18.j, column N, must equal the sum of columns A through M for Memorandum item 18.j.

CECL Double-Count Examples for Schedule RC-O, Memorandum Item 5

Examples for the 3-year and the 5-year 2020 CECL Transition Provisions:

Assumptions for both examples:

- An institution with a calendar year fiscal year has a CECL effective date of January 1, 2020, and a 21 percent income tax rate.
- As of the closing of the fiscal year immediately prior to adopting CECL (i.e., December 31, 2019), the institution's Call Report reflected the following amounts:
  - Retained earnings: $20 million;
  - ALLL: $1,020,000; and
  - Allowance for credit losses on off-balance-sheet credit exposures: $80,000.
- As of the beginning of the fiscal year in which the institution adopted CECL (i.e., January 1, 2020), the institution has $1.4 million in allowances for credit losses (ACL), all of which qualify as the adjusted allowances for credit losses (AACL), as defined in the regulatory capital rules.
- The institution's $1.4 million in ACL and AACL as of the beginning of the fiscal year in which it adopted CECL is comprised of the following:
  - $1.25 million in the ACL on loans and leases;
  - $100,000 in the ACL for off-balance-sheet credit exposures; and
  - $50,000 in the ACL for held-to-maturity debt securities.
- The institution has no ACL for other financial assets measured at amortized cost as of the beginning of the fiscal year in which it adopted CECL.

CECL Double-Count Examples for Schedule RC-O, Memorandum Item 5 (cont.)

- The institution recognizes the effect of the adoption of CECL as of January 1, 2020, by recording an increase in its ACL of $300,000 (credit), with an offsetting increase in temporary difference deferred tax assets (DTAs) of $63,000 (debit) and a reduction in beginning retained earnings of $237,000 (debit). This $237,000 reduction in beginning retained earnings is the CECL transitional amount, as defined in the regulatory capital rules.
- The dollar amounts in the examples have not been rounded for purposes of reporting in Schedule RC-O, Memorandum item 5.

Example for the 3-year CECL Transition Provision:

- The institution has elected to apply the 3-year CECL transition provision for regulatory capital purposes. The institution begins to report the applicable portion of its CECL transitional amount that has been added to retained earnings for regulatory capital purposes and is attributable to loans and leases in Schedule RC-O, Memorandum item 5, in year 2 of the 3-year transition period.
- The 3-year CECL electing institution's CECL transitional amount attributable to loans and leases is calculated by excluding from the CECL transitional amount of $237,000, the amount that remains after excluding the adoption date effect on retained earnings, net of any DTAs, of establishing ACLs in accordance with CECL on credit exposures other than loans and leases.

CECL transitional amount	$237,000
Less change in retained earnings due to:	
ACL for off-balance-sheet credit exposures upon adopting CECL compared to immediately prior to adopting CECL ($80,000 - $100,000)	-$20,000
Initial establishment of ACL for held-to-maturity debt securities upon adopting CECL	-$50,000
Offsetting increase in retained earnings for deferred tax effect of ACL increases ($20,000 + $50,000)*(0.21)	+$14,700
Total amount excluded from CECL transitional amount	-$55,300
CECL transitional amount attributable to loans and leases and reported on Schedule RC-O, Memorandum item 5	$181,700

- For each of the quarterly reporting periods in year 2 of the transition period (i.e., 2021), the amount by which the 3-year CECL electing institution increases retained earnings for regulatory capital purposes that is attributable to loans and leases is $90,850 ($181,700 x 50 percent), which is the amount the institution would report in Schedule RC-O, Memorandum item 5, in year 2 of the transition period.
- For each of the quarterly reporting periods in year 3 of the transition period (i.e., 2022), the amount by which the 3-year CECL electing institution increases retained earnings for regulatory capital purposes that is attributable to loans and leases is $45,425 ($181,700 x 25 percent), which is the amount the institution would report in Schedule RC-O, Memorandum item 5, in year 3, the final year of the transition period.

Example for the 5-year 2020 CECL Transition Provision:

- The institution has elected to apply the 5-year 2020 CECL transition provision for regulatory capital purposes. The institution begins to report the applicable portion of its modified CECL transitional amount that has been added to retained earnings for regulatory capital purposes and is attributable to loans and leases in Schedule RC-O, Memorandum item 5, in the sixth quarter of the 5-year transition period.
- The 5-year 2020 electing institution's AACL for loans and leases as of the beginning of the fiscal year in which it adopted CECL (i.e., January 1, 2020) is $1.25 million and its CECL transitional amount

CECL Double-Count Examples for Schedule RC-O, Memorandum Item 5 (cont.)

attributable to loans and leases is $181,700, which are the same as above under the application of the 3-year CECL transition provision.

- As of the end of the sixth quarter of the 5-year transition period (i.e., June 30, 2021), the 5-year 2020 CECL electing institution's ACL for loans and leases is $1.55 million, all of which qualifies as the AACL for loans and leases.
  - The institution's modified CECL transitional amount attributable to loans and leases as of June 30, 2021, is $256,700, which is its CECL transitional amount attributable to loans and leases of $181,700 plus 25 percent of the $300,000 difference between the institution's $1.55 million AACL for loans and leases as of June 30, 2021, and its $1.25 million AACL for loans and leases as of January 1, 2020.
  - During the first two years of the 5-year 2020 CECL electing institution's transition period, the applicable portion of the institution's modified CECL transitional amount that has been added to retained earnings for regulatory capital purposes and is attributable to loans and leases is 100 percent of its modified CECL transitional amount attributable to loans and leases. Accordingly, the institution would report $256,700 in Schedule RC-O, Memorandum item 5, as of the June 30, 2021, report date.
- As of the end of the seventh quarter of the 5-year transition period (i.e., September 30, 2021), the 5-year 2020 CECL electing institution's ACL for loans and leases is $1.59 million, all of which qualifies as the AACL for loans and leases.
  - The institution's modified CECL transitional amount attributable to loans and leases as of September 30, 2021, is $266,700, which is its CECL transitional amount attributable to loans and leases of $181,700 plus 25 percent of the $340,000 difference between the institution's $1.59 million AACL for loans and leases as of September 30, 2021, and its $1.25 million AACL for loans and leases as of January 1, 2020.
  - During the first two years of the 5-year 2020 CECL electing institution's transition period, the applicable portion of the institution's modified CECL transitional amount that has been added to retained earnings for regulatory capital purposes and is attributable to loans and leases is 100 percent of its modified CECL transitional amount attributable to loans and leases. Accordingly, the institution would report $266,700 in Schedule RC-O, Memorandum item 5, as of the September 30, 2021, report date.
- As of the end of the second year of the 5-year transition period (i.e., December 31, 2021), the 5-year 2020 CECL electing institution's ACL for loans and leases is $1.5 million, all of which qualifies as the AACL for loans and leases.
  - The institution's modified CECL transitional amount attributable to loans and leases as of December 31, 2021, is $244,200, which is its CECL transitional amount attributable to loans and leases of $181,700 plus 25 percent of the $250,000 difference between the institution's $1.5 million AACL for loans and leases as of December 31, 2021, and its $1.25 million AACL for loans and leases as of January 1, 2020.
  - During the first two years of the 5-year 2020 CECL electing institution's transition period, the applicable portion of the institution's modified CECL transitional amount that has been added to retained earnings for regulatory capital purposes and is attributable to loans and leases is 100 percent of its modified CECL transitional amount attributable to loans and leases. Accordingly, the institution would report $244,200 in Schedule RC-O, Memorandum item 5, as of the December 31, 2021, report date.
- During the last three years of the 5-year 2020 CECL electing institution's transition period, its modified CECL transitional amount attributable to loans and leases is fixed at $244,200, which is its CECL transitional amount attributable to loans and leases of $181,700 plus 25 percent of the $250,000 difference between the institution's $1.5 million AACL for loans and leases as of the end of the second year of the transition period (i.e., December 31, 2021) and its $1.25 million AACL for loans and leases as of January 1, 2020.
  - During the third year of the transition period, i.e., 2022, the applicable portion of the institution's modified CECL transitional amount attributable to loans and leases is 75 percent of its modified CECL transitional amount attributable to loans and leases of $244,200. Accordingly, the

CECL Double-Count Examples for Schedule RC-O, Memorandum Item 5 (cont.)

institution would report $183,150 ($244,200 x 75 percent) in Schedule RC-O, Memorandum item 5, for the four quarterly report dates in 2022.

- During the fourth year of the transition period, i.e., 2023, the applicable portion of the institution's modified CECL transitional amount attributable to loans and leases is 50 percent of its modified CECL transitional amount attributable to loans and leases of $244,200. Accordingly, the institution would report $122,100 ($244,200 x 50 percent) in Schedule RC-O, Memorandum item 5, for the four quarterly report dates in 2023.
- During the fifth year of the transition period, i.e., 2024, the applicable portion of the institution's modified CECL transitional amount attributable to loans and leases is 25 percent of its modified CECL transitional amount attributable to loans and leases of $244,200. Accordingly, the institution would report $61,050 ($244,200 x 25 percent) in Schedule RC-O, Memorandum item 5, for the four quarterly report dates in 2024.